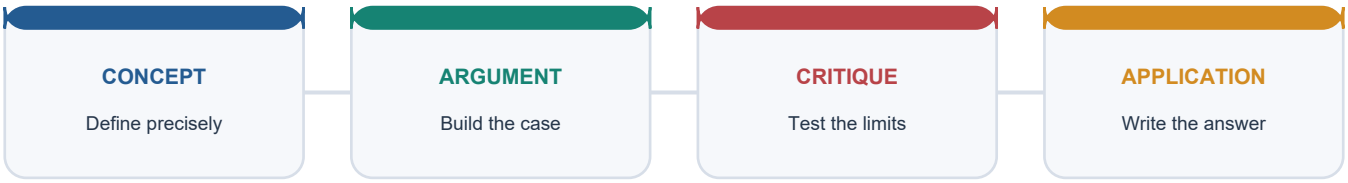
COMPLETE LEARNING SESSION

Economy Topic 7: Money Market, Capital Market and Financial Instruments

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Money Market, Capital Market and Financial Instruments - Complete Learning Session

Subject: Economy | **UPSC:** Prelims and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE, STATUS AND DATE CONTROL

Source layer	Material checked	What it controls
Canonical Economy Markdown	Topic 7 Basic owner and complete Topic 7 package	Core scope, terminology, conceptual sequence and PYQ routing
Optional Advanced Markdown	Topic 7 Advanced owner	Yield-curve, market-depth, infrastructure and stability analysis, kept separate
OCR-searchable local material	Ramesh Singh Economy reference; *Economic Survey 2025-26*; local official-paper OCR	Instrument taxonomy, Indian market context and exact 2024-2025 routed questions
RBI money-market sources	Call, Notice and Term Money Directions, 2021, updated 8 June 2023; Certificate of Deposit Directions dated 4 June 2021; CP and short-term NCD Directions dated 3 January 2024/effective 1 April 2024; Repo Directions dated 11 November 2025	Tenor, collateral, issuer, participant, issue and settlement rules
Government-securities sources	Government Securities Act, 2006; RBI G-Sec Primer; Government of India General Notification dated 26 March 2025; NDS-OM Directions dated 7 February 2025, updated 27 April 2026; Standalone Primary Dealers Directions, 2025, updated 10 March 2026	T-Bills, CMBs, dated securities, SDLs, auctions, access, settlement and dealer roles
Securities-market sources	SEBI Act, 1992; Securities Contracts (Regulation) Act, 1956; Depositories Act, 1996; SEBI ICDR Regulations, 2018, amended through 21 March 2026; SEBI T+0 circulars dated 28 March and 10 December 2024 and 30 October 2025	Issuance routes, exchange-clearing-depository roles and dated equity settlement status
Market-infrastructure sources	CCIL government-securities and triparty-repo material; NSE/BSE and SEBI investor material	Trading, central-counterparty clearing, Delivery versus Payment, demat and investor access

Date rule: Every changeable tenor, threshold, settlement cycle, access category and framework is tied to its cited date. Auction cut-offs, market yields, issue volumes and daily rates are deliberately not frozen.

OFFICIAL LINKS CHECKED

- RBI Call, Notice and Term Money Directions, updated 8 June 2023
- RBI Certificate of Deposit Directions, 4 June 2021
- RBI CP and short-term NCD Directions, 3 January 2024
- RBI Repo Directions, 11 November 2025
- RBI Government Securities Market Primer
- Government of India G-Sec General Notification, 26 March 2025
- RBI NDS-OM Access Directions, updated 27 April 2026
- RBI Standalone Primary Dealers Directions, updated 10 March 2026
- SEBI ICDR Regulations, amended through 21 March 2026
- SEBI optional T+0 framework, 10 December 2024
- SEBI further T+0 implementation extension, 30 October 2025

- Depositories Act, 1996
- CCIL triparty-repo clearing and settlement

LEARNING CONTRACT

Control	Rule used here
Classification	Every instrument is read through issuer, maturity, claim, collateral, tradability, market stage and regulator.
Visual first	Every Core session starts with a purpose-built map, ladder, flow, balance sheet or comparison.
Current rules	Regulatory dates accompany changeable market rules; live yields, rates and volumes are excluded.
Answer method	Every session contains a unique Claim -> named evidence -> analysis -> qualification demonstration.
Topic boundary	Topic 7 teaches market architecture and core instruments; detailed valuation, derivatives, funds and portfolio strategy remain in Topic 8.

Level: Foundation -> Core -> Synthesis -> Optional Advanced. **Syllabus ownership:** Cash-market instruments, issuance, Government-security mechanics, infrastructure, settlement, transmission and development. Detailed derivatives, funds and hedging belong to Topic 8.

BASIC LEARNING SESSION

ORIGIN AND TIMELINE

Date / stage	Development	Why it matters
1992	Securities and Exchange Board of India received statutory status	Modern securities-market regulation
1996	Depositories Act created the legal base for dematerialised ownership records	Registered/beneficial-owner distinction
2002 onward	CCIL strengthened central clearing in Government securities and related markets	Novation, netting and DvP architecture
2021	RBI issued updated Call/Notice/Term Money and Certificate of Deposit Directions	Current tenor and issue rules
January 2023	Phased T+1 equity cash-market transition completed	Standard shorter settlement cycle
1 April 2024	RBI CP and short-term NCD Directions became effective	Current tenor, denomination and settlement framework
28 March / 10 December 2024	Optional T+0 beta introduced and framework expanded	Same-day route added beside T+1
7 February 2025 / 27 April 2026	NDS-OM Directions issued and updated	Direct, indirect and broker-connected G-Sec access
11 November 2025	RBI Repo Directions issued	Current market-repo perimeter and collateral architecture
21 March 2026	SEBI ICDR amendments current through this date	Public and institutional issuance framework

Chronology warning: instruments predate these directions. The dates identify the current verified framework, not the historical birth of money or capital markets.

CORE SESSION 1 - Market architecture: money market versus capital market

VISUAL FIRST

```
FINANCIAL MARKET
     |
     +-- MONEY MARKET -> short-term funds and liquidity
     |      tenor usually up to one year | debt-like claims
     |
     `-- CAPITAL MARKET -> medium/long-term finance
            debt + equity + hybrid claims

TEST EACH INSTRUMENT: issuer -> tenor -> claim -> collateral
                      -> tradability -> market stage -> regulator
```

Visual reading: Money-market instruments commonly mature within one year and help governments, banks and firms bridge short funding gaps. Capital markets finance longer-lived public and private investment through dated debt, equity and hybrids. Liquidity means ease of trading without a large price concession; it is not identical to short maturity, low volatility or absence of default risk. A short unsecured commercial paper can carry credit and rollover risk, while a long sovereign bond can carry substantial market-price risk despite low domestic-currency default risk.

DEFINITION

A financial market connects surplus units and fund-seeking units through tradable or transferable claims. The money market serves short-term liquidity and working-fund needs, while the capital market mobilises medium- and long-term debt and risk capital.

> **ANSWER-GRABBING LINE:** The money-capital distinction is primarily functional and maturity-based, not a ranking from safe to risky or public to private.

MUST-WRITE KEYWORDS: money market, capital market, tenor, liquidity, risk, claim, issuer, tradability.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Market labels become useful only when linked to economic purpose and contract design.
- **Named evidence:** RBI's money-market directions define call, notice, term money, CP, CD and repo segments, while the RBI G-Sec Primer separates T-Bills from dated securities.
- **Analysis:** The classification explains why short rates transmit liquidity conditions and why long markets fund capital formation.
- **Qualification / demand link:** The one-year line is a standard organising rule, not proof that every instrument of exactly similar tenor shares the same legal framework or risk.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's money-market directions define call, notice, term money, CP, CD and repo segments, while the RBI G-Sec Primer separates T-Bills from dated securities.
- **Analytical inference:** The classification explains why short rates transmit liquidity conditions and why long markets fund capital formation.

PRELIMS TRAP

Do not infer safety from `money market` or assume that every government security is short-term.

MAINS USE

Open with the maturity-purpose distinction, then compare liquidity, credit risk, price risk and regulation.

MINI RECAP

['Money market manages short-term funding.', 'Capital market finances longer horizons.', 'Liquidity, safety, maturity and return are separate dimensions.']

CORE SESSION 2 - Primary and secondary markets

VISUAL FIRST

```
ISSUER NEEDS FUNDS
      |
      v
PRIMARY ISSUE -> investor money reaches issuer
      |
      v
SECURITY EXISTS
      |
      v
SECONDARY TRADE -> buyer pays seller
      |             issuer normally receives no fresh money
      v
LIQUIDITY + PRICE DISCOVERY + EXIT -> can lower future issue cost
```

Visual reading: An initial or further public issue, rights issue, private placement or government auction belongs to primary issuance because the security is newly issued. Exchange or over-the-counter resale belongs to the secondary market. Trading converts dispersed information into prices, gives investors an exit route and creates benchmarks for later issues. Yet high turnover can coexist with shallow order books, concentration or volatility, so market quality requires depth, breadth, immediacy and resilience rather than volume alone.

DEFINITION

The primary market creates and allocates new securities; the secondary market transfers already-issued securities among investors.

> **ANSWER-GRABBING LINE:** Primary markets finance the issuer directly, whereas secondary markets finance future issuance indirectly through liquidity, valuation and investor confidence.

MUST-WRITE KEYWORDS: primary issue, secondary trade, fresh capital, liquidity, price discovery, exit, cost of capital.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A liquid secondary market strengthens capital formation even though each resale does not fund the issuer.
- **Named evidence:** SEBI's securities-market architecture separates issue regulation from trading and settlement; RBI's G-Sec framework similarly separates auctions from secondary NDS-OM trading.
- **Analysis:** A credible exit option lowers the liquidity premium demanded in a new issue and improves price discovery for future financing.
- **Qualification / demand link:** Speculative turnover or manipulated prices can weaken rather than improve allocative efficiency.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's securities-market architecture separates issue regulation from trading and settlement; RBI's G-Sec framework similarly separates auctions from secondary NDS-OM trading.
- **Analytical inference:** A credible exit option lowers the liquidity premium demanded in a new issue and improves price discovery for future financing.

PRELIMS TRAP

Secondary-market purchase normally pays the selling investor, not the original issuer.

MAINS USE

Link issuance to fresh funds and trading to liquidity, valuation, governance signals and future financing cost.

MINI RECAP

['Primary means new issue.', 'Secondary means resale.', "Liquidity can reduce the issuer's future cost without creating fresh funds in that trade."]

CORE SESSION 3 - Call, notice and term money

VISUAL FIRST

```
UNSECURED WHOLESALE FUNDS
      |
      +-- CALL MONEY: overnight
      +-- NOTICE MONEY: over 1 day and up to 14 days
      `-- TERM MONEY: over 14 days and up to 1 year

RBI OPERATING CORRIDOR
MSF ceiling
    |
policy repo rate
    |
SDF floor

WACR = transaction-value-weighted overnight unsecured call rate
       and the operating target of monetary policy

Eligible borrowers/lenders under RBI Directions:
SCBs (except LABs) + Payments Banks + SFBs + RRBs
+ State/District/Urban co-operative banks + Primary Dealers
```

Visual reading: RBI's Directions dated 1 April 2021 and updated 8 June 2023 define call money as overnight, notice money as beyond overnight through fourteen days, and term money as above fourteen days through one year. Eligible two-way participants are specified banks, co-operative banks and Primary Dealers; this is not an unrestricted retail market. Transactions can occur over authorised electronic trading platforms or over the counter, with reporting and prudential limits. The weighted average call rate (WACR) is the transaction-value-weighted overnight unsecured rate and RBI's operating target. The Standing Deposit Facility supplies the corridor floor, the Marginal Standing Facility supplies the ceiling, and the policy repo rate lies between them. WACR remains market-determined rather than being identical to the policy repo rate.

DEFINITION

Call, notice and term money are unsecured borrowing and lending segments distinguished by tenor. WACR summarises overnight call transactions and is guided toward the policy repo rate through RBI's liquidity operations and standing-facility corridor.

> **ANSWER-GRABBING LINE:** Because these loans are unsecured, counterparty quality and prudential limits-not collateral management-anchor the market.

MUST-WRITE KEYWORDS: call money, notice money, term money, overnight, unsecured, WACR, SDF, MSF, policy corridor.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The unsecured overnight market is a sensitive barometer of immediate system liquidity and counterparty confidence.
- **Named evidence:** RBI's Call, Notice and Term Money Markets Directions, 2021, updated 8 June 2023, define the tenors and eligible participants.
- **Analysis:** A scarcity of overnight funds or counterparty caution can move call rates even before longer bond yields respond.
- **Qualification / demand link:** The rate also reflects distribution of liquidity and institution-specific credit limits; it is not a pure reading of aggregate liquidity.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's Call, Notice and Term Money Markets Directions, 2021, updated 8 June 2023, define the tenors and eligible participants.
- **Analytical inference:** A scarcity of overnight funds or counterparty caution can move call rates even before longer bond yields respond.

PRELIMS TRAP

Notice money excludes overnight borrowing; term money begins only after fourteen days. SDF and MSF are corridor facilities, whereas WACR is a market rate and the operating target.

MAINS USE

Use this segment to explain the first link from RBI liquidity operations to bank funding conditions.

MINI RECAP

['Call is overnight.', 'Notice is over one day to fourteen days.', 'Term is over fourteen days to one year.', 'SDF is the floor, MSF the ceiling and WACR the operating target.']

CORE SESSION 4 - Repo, reverse repo and TREPS

VISUAL FIRST

```
BORROWER sells eligible security + promises repurchase
        |                          |
        | cash today               | repurchase later
        v                          v
     LENDER <------- collateralised exposure

TRIPARTY REPO
borrower <-> triparty agent / platform <-> lender
             collateral selection, valuation and settlement

TREPS = Indian triparty-repo dealing system; CCIL clears/settles
```

Visual reading: RBI's Repurchase Transactions Directions dated 11 November 2025 govern market repos on recognised exchanges, electronic platforms and OTC venues, while excluding RBI's separate LAF and MSF transactions. Eligible collateral under that framework includes specified government, corporate, securitised, debt-ETF and municipal debt securities. In TREPS, the triparty agent supports collateral selection, valuation and settlement, and CCIL acts as central counterparty and settlement institution. A haircut protects against collateral-value movement but does not eliminate default, liquidity or operational risk.

DEFINITION

A repo is collateralised borrowing structured as sale and later repurchase; the same transaction is a reverse repo from the cash lender's perspective. Triparty repo adds an agent that manages collateral and operational services.

> **ANSWER-GRABBING LINE:** Repo is a legal transaction form, while TREPS is market infrastructure for triparty repo; neither should be equated with unsecured call money.

MUST-WRITE KEYWORDS: repo, reverse repo, triparty repo, TREPS, collateral, haircut, CCIL, novation.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Collateralisation reduces unsecured exposure only when valuation, margining, custody and settlement remain credible.
- **Named evidence:** The RBI Repo Directions, 2025, and CCIL's triparty-repo process define the contract, eligible collateral and centralised clearing functions.
- **Analysis:** Mark-to-market collateral and a central counterparty reduce bilateral uncertainty and improve money-market liquidity.
- **Qualification / demand link:** Central clearing concentrates operational and default-management importance in the infrastructure itself.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The RBI Repo Directions, 2025, and CCIL's triparty-repo process define the contract, eligible collateral and centralised clearing functions.
- **Analytical inference:** Mark-to-market collateral and a central counterparty reduce bilateral uncertainty and improve money-market liquidity.

PRELIMS TRAP

A market repo is not automatically an RBI liquidity operation, and TREPS is not the old CBLO instrument.

MAINS USE

Contrast unsecured call funding with collateralised repo and explain how collateral infrastructure supports transmission.

MINI RECAP

['Repo is collateralised borrowing.', 'Reverse repo is the counterparty view.', 'TREPS adds triparty collateral and settlement services.']

CORE SESSION 5 - Treasury Bills and Cash Management Bills

VISUAL FIRST

```
GOVERNMENT OF INDIA SHORT-TERM BORROWING
        |
        +-- T-BILLS: 91 | 182 | 364 days
        |      zero coupon -> issue at discount -> redeem at face value
        |
        `-- CMBs: less than 91 days
               temporary cash mismatch | non-standard maturity

RBI conducts auctions as Government's debt manager; issuer remains Union Government
```

Visual reading: The RBI G-Sec Primer identifies current standard T-Bill tenors of 91, 182 and 364 days. They carry no periodic coupon: the investor's return is the difference between issue price and face value. CMBs, introduced in 2010, have T-Bill-like character but mature in less than 91 days and are issued when temporary government cash needs arise. The Government of India is the borrower; RBI conducts the auction and debt-management operations. States do not issue Treasury Bills.

DEFINITION

Treasury Bills are standard short-term zero-coupon Government of India securities; Cash Management Bills are similar discount instruments with maturities below 91 days for temporary cash mismatches.

> **ANSWER-GRABBING LINE:** T-Bills and CMBs are sovereign money-market debt, but short maturity does not erase reinvestment or rollover risk.

MUST-WRITE KEYWORDS: Treasury Bill, T-Bill, Cash Management Bill, 91 days, 182 days, 364 days, discount, par.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Tenor and cash-flow structure-not the public identity of the issuer-place T-Bills and CMBs in the money market.
- **Named evidence:** The RBI G-Sec Primer and the Government of India General Notification dated 26 March 2025 distinguish standard T-Bills, CMBs and dated securities.
- **Analysis:** Discount issuance creates an implicit return without a coupon and allows short cash management.
- **Qualification / demand link:** A sovereign domestic-currency instrument can still face market-price and reinvestment risk even when credit risk is treated as minimal.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The RBI G-Sec Primer and the Government of India General Notification dated 26 March 2025 distinguish standard T-Bills, CMBs and dated securities.
- **Analytical inference:** Discount issuance creates an implicit return without a coupon and allows short cash management.

PRELIMS TRAP

T-Bills are not dated coupon securities; CMBs are not a routine fourth standard T-Bill tenor.

MAINS USE

Use them to distinguish temporary cash management from longer-term public borrowing.

MINI RECAP

['T-Bills use 91/182/364-day standard tenors.', 'CMBs mature below 91 days.', 'Both are issued at discount and redeemed at par.']

CORE SESSION 6 - Commercial Paper, Certificates of Deposit and commercial bills

VISUAL FIRST

```
SHORT-TERM CLAIMS
|
+-- CP: issuer's unsecured promissory note
|   7 days-1 year | minimum Rs5 lakh | discount instrument
+-- CD: bank's negotiable unsecured deposit instrument
|   7 days-1 year | minimum Rs5 lakh | discount/fixed/floating
`-- COMMERCIAL BILL: trade receivable / bill of exchange
    supplier discounts with bank -> bank may rediscount

TReDS
accepted MSME invoice -> financiers bid -> MSME receives early cash
                      -> buyer pays selected financier at maturity

CP/CD rules are dated; trade bills arise from genuine commerce
```

Visual reading: RBI's CP and short-term NCD Directions dated 3 January 2024, effective 1 April 2024, define CP as unsecured promissory-note money-market paper with tenor from seven days to one year, minimum denomination Rs 5 lakh and rating at least A3. The CD Directions dated 4 June 2021/effective 7 June 2021 permit Scheduled Commercial Banks, RRBs and SFBs to issue dematerialised CDs of seven days to one year in Rs 5 lakh minimum denomination; AIFI resource rules are separate. Both have disclosure, reporting and settlement requirements. Commercial bills instead originate in sale of goods: a bank discounts the bill before maturity and may rediscount it to obtain liquidity. TReDS applies the receivables-finance idea through an RBI-regulated electronic platform: an MSME uploads an invoice, the buyer accepts it, financiers bid to discount the accepted receivable, the MSME receives early funds and the buyer pays the selected financier on the due date.

DEFINITION

Commercial Paper is unsecured market borrowing by eligible issuers; a Certificate of Deposit is a negotiable unsecured instrument against funds deposited with an eligible bank; a commercial bill represents a trade claim that may be discounted and rediscounted.

TReDS mechanism: TReDS is not a stock exchange, credit-rating agency or repo platform. It competitively finances accepted MSME receivables, generally without recourse to the MSME under the framework. Its effectiveness depends on buyer onboarding, timely invoice acceptance and financier participation. TREPS is triparty repo; TReDS is trade-receivables discounting.

> **ANSWER-GRABBING LINE:** CP funds an issuer, CD funds a bank, and bill discounting monetises a trade receivable: similar short tenors do not make the underlying claims identical.

MUST-WRITE KEYWORDS: Commercial Paper, Certificate of Deposit, commercial bill, TReDS, accepted invoice, discounting, rediscounting, DvP.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Short-term market finance is a family of legally distinct claims rather than one generic substitute for a bank loan.
- **Named evidence:** RBI's 2024 CP/NCD Directions and 2021 CD Directions specify form, issuer, tenor, denomination and settlement; bill finance is tied to an underlying trade claim.
- **Analysis:** Instrument design allocates issuer credit, liquidity and rollover risk differently across corporates, banks and trade counterparties.
- **Qualification / demand link:** A credit rating, dematerialisation or DvP settlement reduces particular frictions but does not guarantee repayment.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's 2024 CP/NCD Directions and 2021 CD Directions specify form, issuer, tenor, denomination and settlement; bill finance is tied to an underlying trade claim.
- **Analytical inference:** Instrument design allocates issuer credit, liquidity and rollover risk differently across corporates, banks and trade counterparties.

PRELIMS TRAP

CP is not secured by definition; CD is not corporate equity; a commercial bill is not a Treasury Bill. TReDS must not be confused with TREPS.

MAINS USE

Compare purpose, issuer, backing and cash flow before discussing money-market development.

MINI RECAP

['CP is unsecured issuer borrowing.', 'CD is a negotiable bank deposit claim.', 'Commercial bills monetise trade receivables.', 'TReDS competitively discounts accepted MSME invoices.']

CORE SESSION 7 - Government securities and State Development Loans

VISUAL FIRST

```
PUBLIC DEBT MAP
|
+-- UNION GOVERNMENT
|   +-- T-Bills/CMBs: short term
|   `-- dated G-Secs: one year or more; coupon or specified structure
|
`-- STATE GOVERNMENTS
    `-- State Development Loans: dated market borrowings

RBI: debt manager/auction/registry roles under law and agreements
GOVERNMENT: issuer and debtor
```

Visual reading: The Government Securities Act, 2006 supplies the legal framework. The RBI Primer distinguishes Central Government T-Bills and dated securities from State Government dated securities called SDLs. A conventional dated security pays coupon on face value and principal at maturity; variants can use floating rates, inflation linkage or other notified structures. SDL yields can differ from comparable Central G-Secs because liquidity, supply and perceived risk premia differ. `Sovereign` does not mean that market price cannot fall when yields rise.

DEFINITION

A government security is a tradable debt obligation of the Central or a State Government. Dated Central Government securities and State Development Loans are longer-term marketable debt.

> **ANSWER-GRABBING LINE:** RBI manages issuance and market infrastructure, but the debt obligation belongs to the issuing Union or State government.

MUST-WRITE KEYWORDS: Government Security, G-Sec, dated security, State Development Loan, SDL, public debt, coupon, sovereign.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Public-debt analysis must separate issuer, debt manager, maturity and market risk.
- **Named evidence:** The Government Securities Act, 2006 and RBI's G-Sec Primer identify the instrument classes and RBI's Public Debt Office functions.
- **Analysis:** The separation prevents the common error of calling RBI the borrower or treating every public security as a T-Bill.
- **Qualification / demand link:** Exact tenor, coupon and auction method are issue-specific and must be read from the notification rather than guessed.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The Government Securities Act, 2006 and RBI's G-Sec Primer identify the instrument classes and RBI's Public Debt Office functions.
- **Analytical inference:** The separation prevents the common error of calling RBI the borrower or treating every public security as a T-Bill.

PRELIMS TRAP

States issue SDLs, not Treasury Bills; a sovereign label does not fix the secondary-market price.

MAINS USE

Use G-Secs and SDLs to connect fiscal borrowing, benchmark yields and financial-sector portfolios.

MINI RECAP

['Central government issues T-Bills and dated G-Secs.', 'States issue SDLs.', 'RBI manages issuance; it does not own the debt.']

CORE SESSION 8 - Bond price, coupon, current yield and yield to maturity

VISUAL FIRST

```
PLAIN FIXED-COUPON BOND
Face value = F | annual coupon = C | market price = P
|
+-- coupon rate = C / F
+-- current yield = C / P
`-- YTM = discount rate equating P with all coupons + redemption

MARKET YIELD rises -> present value of fixed cash flows falls -> PRICE falls
MARKET YIELD falls -> present value rises -> PRICE rises
```

Visual reading: A bond trading below face value can have a current yield above its coupon rate because the same coupon is divided by a lower market price. YTM also includes capital gain or loss toward redemption and the timing of every cash flow, so it is not the same as current yield. When market rates rise, old fixed coupons become less attractive and price falls until the promised cash flows offer the required yield. Credit spread changes can move a corporate bond even when the risk-free curve is unchanged.

DEFINITION

Coupon rate relates coupon to face value; current yield relates annual coupon to current price; yield to maturity is the internal return implied by price if contractual cash flows occur and the bond is held to maturity under its assumptions.

> **ANSWER-GRABBING LINE:** Price and yield move inversely because a fixed cash-flow stream is discounted at the market-required return.

MUST-WRITE KEYWORDS: face value, coupon rate, current yield, yield to maturity, discounting, price-yield inverse.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Yield is a price-derived return concept, not simply the coupon printed on the security.
- **Named evidence:** RBI's G-Sec Primer explains coupon, price, accrued interest and yield conventions for fixed-income securities.
- **Analysis:** Discounted-cash-flow logic explains both the inverse price-yield relation and why longer cash-flow timing increases sensitivity.
- **Qualification / demand link:** Realised return can differ from quoted YTM because of default, sale before maturity and coupon-reinvestment assumptions.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's G-Sec Primer explains coupon, price, accrued interest and yield conventions for fixed-income securities.
- **Analytical inference:** Discounted-cash-flow logic explains both the inverse price-yield relation and why longer cash-flow timing increases sensitivity.

PRELIMS TRAP

A higher coupon does not necessarily imply a higher YTM, and sovereign debt is not free of interest-rate risk.

MAINS USE

Use one formula and the discounting mechanism before linking yields to monetary or fiscal conditions.

MINI RECAP

['Coupon uses face value.', 'Current yield uses market price.', 'YTM incorporates all promised cash flows and redemption.']

CORE SESSION 9 - Duration and interest-rate risk basics

VISUAL FIRST

```
RATE SHOCK
   |
   v
DISCOUNT FACTOR CHANGES
   |
   v
BOND PRICE CHANGES

Approximation:
percentage price change ~= - Modified Duration x change in yield

Longer maturity + lower coupon generally -> greater duration/sensitivity
(holding other features comparable)
```

Visual reading: A zero-coupon bond's Macaulay duration equals its maturity because all cash arrives at the end. A coupon bond returns some value earlier, so duration is usually below maturity. For small parallel yield changes, modified duration gives a useful linear approximation with a negative sign. Convexity explains why the actual price-yield curve bends and why the approximation becomes less exact for large moves. Credit-risk and liquidity-spread changes are separate sources of price movement.

DEFINITION

Duration is a cash-flow-weighted measure of a bond's interest-rate sensitivity; modified duration approximates the percentage price response to a small yield change.

> **ANSWER-GRABBING LINE:** Maturity tells when principal returns, while duration tells how strongly value responds to rates.

MUST-WRITE KEYWORDS: duration, modified duration, interest-rate risk, convexity, maturity, coupon, basis point.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Duration converts an abstract rate view into an estimate of portfolio price exposure.
- **Named evidence:** The RBI G-Sec Primer presents duration and price-value calculations as core risk measures for government-security investors.
- **Analysis:** Two bonds with the same maturity can react differently because coupon size and cash-flow timing differ.
- **Qualification / demand link:** Duration is an approximation based on specified yield movements; it does not predict default or every non-parallel curve shift.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The RBI G-Sec Primer presents duration and price-value calculations as core risk measures for government-security investors.
- **Analytical inference:** Two bonds with the same maturity can react differently because coupon size and cash-flow timing differ.

PRELIMS TRAP

Do not equate duration with maturity or read the minus sign as a negative duration.

MAINS USE

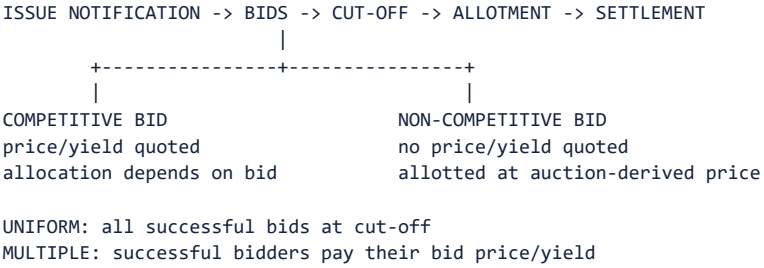
Use duration to explain mark-to-market effects on banks, insurers, funds and government borrowing costs.

MINI RECAP

['Price and yield move inversely.', 'Duration measures sensitivity, not merely time to maturity.', 'Convexity qualifies the linear estimate.']

CORE SESSION 10 - Government-security auctions

VISUAL FIRST



Visual reading: In a yield-based auction for a new security, bids quote yield and the coupon is set from the auction outcome; in a price-based auction, often used for reissues, bids quote price for an existing coupon. In a uniform-price auction all successful competitive bidders receive the cut-off price or yield; in a multiple-price auction each successful bidder receives the price or yield bid. Non-competitive bidders do not quote price or yield and receive the weighted-average auction outcome under the applicable scheme. The notification controls the actual method.

DEFINITION

A government-security auction discovers the issue price or yield through bids; competitive and non-competitive participation, and uniform or multiple-price allocation, answer different questions.

> **ANSWER-GRABBING LINE:** Auction design allocates price-discovery responsibility without excluding eligible non-competitive participants.

MUST-WRITE KEYWORDS: auction, competitive bid, non-competitive bid, uniform price, multiple price, cut-off, yield-based, price-based.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Auction labels must be decoded by what the bidder quotes and what successful bidders pay.
- **Named evidence:** RBI's G-Sec Primer and each issue notification distinguish yield/price bidding, uniform/multiple allocation and non-competitive access.
- **Analysis:** Clear rules broaden participation while preserving competitive price discovery and government funding.
- **Qualification / demand link:** No single auction method is permanent for every tenor or issue; the current notification governs.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's G-Sec Primer and each issue notification distinguish yield/price bidding, uniform/multiple allocation and non-competitive access.
- **Analytical inference:** Clear rules broaden participation while preserving competitive price discovery and government funding.

PRELIMS TRAP

Uniform price is not the same as non-competitive bidding, and `Dutch` labels are less reliable than the stated payment rule.

MAINS USE

Explain how issuance design balances price discovery, participation and borrowing-cost uncertainty.

MINI RECAP

['Yield versus price describes the bid variable.', 'Uniform versus multiple describes payment/allotment.', 'Non-competitive participation accepts the auction-derived price.']

CORE SESSION 11 - Primary Dealers and retail G-Sec access

VISUAL FIRST

```
PRIMARY AUCTION
      |
      +-- PRIMARY DEALERS -> bid + underwriting commitment
      |                      -> secondary market-making
      |
      +-- ELIGIBLE DIRECT NDS-OM MEMBERS
      |
      `-- NON-COMPETITIVE / RETAIL DIRECT / STOCK BROKER CONNECT

Access channel changes; sovereign credit and market-price risk remain
```

Visual reading: RBI's Standalone Primary Dealers Directions, 2025, updated 10 March 2026, place standalone PDs within a regulated NBFC framework. PD functions include committed participation or underwriting in primary government borrowing and market making in the secondary market. RBI Retail Direct gives individual investors a Retail Direct Gilt account and access to primary and secondary G-Sec routes. The NDS-OM Directions dated 7 February 2025, updated 27 April 2026, also define direct access, indirect access and Stock Broker Connect. Access does not remove settlement, liquidity or price risk.

DEFINITION

Primary Dealers are RBI-authorised institutions that support government-security auctions and secondary liquidity; retail-access channels permit eligible individuals to invest without turning them into dealers.

> **ANSWER-GRABBING LINE:** Dealer obligations strengthen issuance and liquidity, but they neither guarantee bond prices nor transfer sovereign debt to RBI.

MUST-WRITE KEYWORDS: Primary Dealer, underwriting, market making, RBI Retail Direct, RDG account, NDS-OM, non-competitive.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A resilient public-debt market requires both committed intermediaries and diversified investor access.
- **Named evidence:** RBI's dated PD and NDS-OM directions identify dealer obligations and current access modes.
- **Analysis:** Underwriting supports auction completion, while market making and broader access can improve secondary liquidity and price discovery.
- **Qualification / demand link:** Primary Dealers are regulated intermediaries, not purchasers of last resort for every issue or guarantors of investor returns.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's dated PD and NDS-OM directions identify dealer obligations and current access modes.
- **Analytical inference:** Underwriting supports auction completion, while market making and broader access can improve secondary liquidity and price discovery.

PRELIMS TRAP

Distinguish debt-management infrastructure from the government's fiscal decision to borrow.

MAINS USE

Use PD obligations and retail access to explain how institutional design joins reliable issuance with broader participation.

MINI RECAP

['PDs support auctions and market making.', 'Retail Direct is an access channel.', 'Access does not eliminate duration risk.']

CORE SESSION 12 - Debt, equity and hybrid claims

VISUAL FIRST

```
FIRM FINANCING CLAIM
|
+-- DEBT -> contractual interest/principal | creditor | senior claim
+-- EQUITY -> residual profit/control claim | owner | no fixed maturity
`-- HYBRID -> debt and equity features
       preference shares / convertible debt at syllabus depth

RETURN, CONTROL, PRIORITY AND LOSS-BEARING DIFFER
```

Visual reading: Debt usually promises coupon or interest and principal, with creditors ranking ahead of ordinary shareholders in insolvency subject to law and security. Equity has no contractual repayment date and captures residual upside and downside, often with voting rights. Preference shares remain share capital but receive priority over ordinary equity for dividend and repayment of capital. Cumulative preference dividends can carry forward when unpaid; non-cumulative dividends normally do not. Convertible preference shares may become equity, redeemable preference shares return capital under their terms, and participating preference shares may share additional surplus. Preference shareholders ordinarily have more limited voting rights than ordinary equity holders. Convertible debentures begin as debt and may convert under stated terms.

DEFINITION

Debt creates a contractual creditor claim, equity creates a residual ownership claim, and a hybrid combines selected characteristics of both.

Preference-share form	Examiner-ready meaning
Cumulative	Unpaid preference dividend accumulates
Non-cumulative	Missed dividend normally does not accumulate
Convertible	Can become equity under stated terms
Redeemable	Capital is repaid according to the issue terms
Participating	May share additional surplus beyond the preference amount

> **ANSWER-GRABBING LINE:** Capital-market instruments allocate not only return but control, maturity, priority and loss-bearing.

MUST-WRITE KEYWORDS: debt, equity, hybrid, creditor, shareholder, residual claim, convertible, preference share.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The financing choice reallocates business risk between fixed claimants and residual owners.
- **Named evidence:** Companies Act and SEBI issue frameworks distinguish share capital, debt securities and convertible securities.
- **Analysis:** More debt preserves ownership but raises fixed obligations; more equity improves shock absorption but dilutes control and residual returns.
- **Qualification / demand link:** Tax, covenant, voting, security and conversion terms can alter the simple debt-equity contrast.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Companies Act and SEBI issue frameworks distinguish share capital, debt securities and convertible securities.
- **Analytical inference:** More debt preserves ownership but raises fixed obligations; more equity improves shock absorption but dilutes control and residual returns.

PRELIMS TRAP

Capital market is not synonymous with stock market, and every hybrid must be read from its terms.

MAINS USE

Compare claim, cash flow, control, priority and maturity rather than listing instrument names.

MINI RECAP

['Debt holders are creditors.', 'Equity holders bear residual risk.', 'Hybrids combine contractual features.']

CORE SESSION 13 - Corporate bonds and debentures

VISUAL FIRST

```
CORPORATE DEBT
|
+-- SECURED -> charge/security over identified assets
+-- UNSECURED -> general credit claim; no specified collateral
+-- NON-CONVERTIBLE -> remains debt
`-- CONVERTIBLE -> specified conversion into equity

Issuer -> debenture trustee/arranger -> investors
          disclosure + rating + covenant monitoring
```

Visual reading: A secured debenture creates a charge over specified assets, giving enforcement rights subject to law; an unsecured debenture relies on the issuer's general credit. A non-convertible debenture remains debt, whereas a convertible debenture can become equity on contractual terms. Public or listed debt requires disclosure, rating, trustee and continuing-compliance architecture under applicable company and SEBI rules. A rating is an opinion on relative credit risk, not insurance or a recommendation. A downgrade normally raises the yield investors demand, lowers the existing bond's price and widens its spread over a comparable G-Sec. The issuer-pays model creates a potential conflict of interest, making SEBI regulation, disclosure and surveillance important. A debenture trustee monitors covenants and security and can act collectively for dispersed holders, but does not guarantee repayment. RBI's 2024 Direction separately governs CP and NCDs of original or initial maturity up to one year; longer listed debt principally sits in the SEBI securities-market perimeter.

DEFINITION

A corporate bond or debenture acknowledges company indebtedness. Security determines collateral backing; convertibility determines whether and how the claim can become equity.

```
RATING DOWNGRADE
      -> perceived credit risk rises
      -> required yield / credit spread rises
      -> existing bond price falls
```

> **ANSWER-GRABBING LINE:** Secured, unsecured and convertible are separate axes: a bond can be secured yet non-convertible, or unsecured yet convertible.

MUST-WRITE KEYWORDS: corporate bond, debenture, secured, unsecured, convertible, debenture trustee, credit rating, downgrade, credit spread.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Corporate debt deepens market finance only when investors can price issuer risk and enforce credible covenants.
- **Named evidence:** SEBI debt-market material and RBI's 2024 short-term CP/NCD Directions distinguish security, convertibility, maturity and regulatory perimeter.
- **Analysis:** A bond market diversifies finance beyond banks but transfers screening and mark-to-market risk to market investors.
- **Qualification / demand link:** A rating is an opinion, not insurance; collateral value and enforcement time can change.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI debt-market material and RBI's 2024 short-term CP/NCD Directions distinguish security, convertibility, maturity and regulatory perimeter.
- **Analytical inference:** A bond market diversifies finance beyond banks but transfers screening and mark-to-market risk to market investors.

PRELIMS TRAP

`Debenture` does not automatically mean secured, `convertible` does not mean current equity ownership, and a credit rating does not guarantee repayment.

MAINS USE

Use corporate bonds to discuss financing diversification, disclosure, creditor protection and rollover risk.

MINI RECAP

['Security and convertibility are different axes.', 'Bondholders are creditors.', 'Ratings do not guarantee payment.']

CORE SESSION 14 - IPO, FPO and rights issues

VISUAL FIRST

```
EQUITY ISSUANCE ROUTES
|
+-- IPO: unlisted issuer's first public offer -> listing
+-- FPO: already-listed issuer's further public offer
+-- RIGHTS ISSUE: offer to existing holders on record date
|                  usually in proportion to holdings
`-- BONUS ISSUE: reserves capitalised into share capital
                 no fresh cash enters the company

Fresh issue -> funds to company
Offer for sale -> proceeds to selling holders
Book building -> bids within price band -> issue-price discovery
```

Visual reading: Under SEBI's ICDR Regulations, 2018, amended through 21 March 2026, an IPO can include a fresh issue, an offer for sale, or both, by an unlisted issuer. An FPO is a public offer by an already listed issuer. A rights issue gives existing shareholders an entitlement based on the record date and issue ratio, normally protecting their opportunity to maintain proportionate ownership if exercised. A fresh issue expands issued capital and brings funds to the company; an offer for sale transfers existing securities and proceeds to the seller. In book building, investors bid within a disclosed price band and the demand book helps determine the issue price; it cannot guarantee a listing gain. A bonus issue distributes additional shares proportionately by capitalising reserves into share capital: no new cash enters, proportional ownership initially remains unchanged and market price ordinarily adjusts for the larger number of shares.

DEFINITION

An IPO is the first public offer by an unlisted issuer, an FPO is a further public offer by a listed issuer, and a rights issue offers securities to existing holders under the applicable terms.

Route	Fresh cash to company?	Immediate ownership effect
Fresh public/rights issue	Yes	Non-subscribers may be diluted
Offer for sale	No	Existing shares change owners
Bonus issue	No	Proportionate ownership normally unchanged

> **ANSWER-GRABBING LINE:** Public-offer labels identify issuer status and investor constituency; they do not by themselves show whether money reaches the company or a selling shareholder.

MUST-WRITE KEYWORDS: IPO, FPO, rights issue, fresh issue, offer for sale, bonus issue, book building, dilution.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Issue classification must precede any conclusion about capital formation or dilution.
- **Named evidence:** SEBI's current ICDR framework defines IPO, FPO, rights issue, fresh issue and offer for sale.
- **Analysis:** The distinction reveals who supplies the securities, who receives cash and how ownership percentages may change.
- **Qualification / demand link:** Issue-specific eligibility, pricing, disclosure and timelines change; this package does not freeze procedural sub-rules beyond the dated framework.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's current ICDR framework defines IPO, FPO, rights issue, fresh issue and offer for sale.
- **Analytical inference:** The distinction reveals who supplies the securities, who receives cash and how ownership percentages may change.

PRELIMS TRAP

An IPO is not necessarily all fresh capital, a rights entitlement is not a guaranteed gain, and a bonus issue does not create immediate additional wealth.

MAINS USE

Use route, recipient of proceeds, investor set and dilution to structure an issuance answer.

MINI RECAP

['IPO is first public access by an unlisted issuer.', 'FPO follows listing.', 'Rights issues privilege existing holders.', 'Bonus issues capitalise reserves without fresh funds.', 'Book building discovers the issue price within a price band.']

CORE SESSION 15 - Private placement and Qualified Institutions Placement

VISUAL FIRST

```
NON-PUBLIC ISSUANCE
|
+-- PRIVATE PLACEMENT -> identified/select persons under company law
|                        not a public offer
`-- QIP -> listed issuer
          eligible securities
          Qualified Institutional Buyers only
          private-placement route under SEBI ICDR

QIP is a species of placement, not a stock-exchange trade
```

Visual reading: Private placement under company law is not a public invitation and remains subject to its statutory process. QIP is a specific capital-raising route under SEBI's ICDR Regulations, 2018, amended through 21 March 2026: a listed issuer offers eligible securities to QIBs on a private-placement basis. It differs from a preferential issue, even though both target selected investors. QIP can reduce execution friction relative to a public issue but may affect dilution, control and pricing; detailed eligibility and pricing rules must be checked against the current regulation.

DEFINITION

Private placement offers securities to an identified group rather than the public; Qualified Institutions Placement is a SEBI-regulated placement by a listed issuer to Qualified Institutional Buyers.

> **ANSWER-GRABBING LINE:** A narrower investor route can accelerate fund raising, but it shifts protection toward eligibility, pricing, disclosure and governance controls.

MUST-WRITE KEYWORDS: private placement, QIP, Qualified Institutional Buyer, listed issuer, preferential issue, public offer, ICDR.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Issuance speed is legitimate only when select-investor access is matched by transparent pricing and governance.
- **Named evidence:** SEBI ICDR defines QIP and regulates public, rights, preferential and institutional placement routes.
- **Analysis:** Institutional eligibility can reduce information and distribution costs without making the issue risk-free or automatically fair to existing holders.
- **Qualification / demand link:** The Companies Act private-placement perimeter and SEBI's listed-issuer rules can operate together; neither label substitutes for issue-specific compliance.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI ICDR defines QIP and regulates public, rights, preferential and institutional placement routes.

- **Analytical inference:** Institutional eligibility can reduce information and distribution costs without making the issue risk-free or automatically fair to existing holders.

PRELIMS TRAP

QIP is not available to every unlisted firm and does not mean exchange purchase by any institution.

MAINS USE

Compare breadth of solicitation, issuer status, investor eligibility, proceeds and dilution.

MINI RECAP

['Private placement is not a public offer.', 'QIP is for a listed issuer and QIBs.', 'Preferential issue and QIP are not synonyms.']

CORE SESSION 16 - Trading venues, exchanges and over-the-counter markets

VISUAL FIRST

```
TRADE EXECUTION
|
+-- EXCHANGE / ORDER BOOK
|   standard rules + transparent matching + surveillance
|
`-- OTC
    bilateral negotiation, including authorised electronic platforms

EXECUTION != CLEARING != SETTLEMENT != CUSTODY
```

Visual reading: NSE and BSE are recognised stock exchanges under the securities-law framework. Exchange order books standardise access, transparency and surveillance, while OTC markets allow bilateral terms suited to many debt and money-market instruments. An electronic platform can still be legally OTC depending on the governing definition. After execution, obligations must be confirmed, cleared, margined, settled and recorded. Fragmented liquidity may reduce price discovery even when many venues exist.

DEFINITION

An exchange provides an organised trading venue; an over-the-counter market covers transactions outside recognised exchanges, including trades executed on authorised electronic platforms.

> **ANSWER-GRABBING LINE:** Market quality depends on the entire post-trade chain, not only on where buyer and seller agree.

MUST-WRITE KEYWORDS: stock exchange, NSE, BSE, OTC, electronic trading platform, order book, surveillance, price discovery.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Execution venue shapes transparency and liquidity but does not complete the transfer of cash and securities.
- **Named evidence:** RBI money-market directions define OTC to include electronic trading platforms outside exchanges; SEBI regulates recognised exchanges and their securities-market framework.
- **Analysis:** The venue determines how orders meet, while clearing and settlement determine whether the bargain becomes final.
- **Qualification / demand link:** OTC does not mean unregulated, and exchange trading does not eliminate manipulation, outage or liquidity risk.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI money-market directions define OTC to include electronic trading platforms outside exchanges; SEBI regulates recognised exchanges and their securities-market framework.
- **Analytical inference:** The venue determines how orders meet, while clearing and settlement determine whether the bargain becomes final.

PRELIMS TRAP

Separate pre-trade transparency, execution, clearing, settlement and custody in institutional answers.

MAINS USE

Use the execution/post-trade distinction to diagnose whether a reform improves transparency, finality or ownership integrity.

MINI RECAP

['Exchange and OTC describe execution structures.', 'Electronic does not automatically mean exchange-traded.', 'A trade still needs post-trade completion.']

CORE SESSION 17 - Clearing corporations, central counterparties and DvP

VISUAL FIRST

```
TRADE MATCHED
     |
     v
CLEARING CORPORATION / CCP
becomes buyer to every seller + seller to every buyer
     |
     +-- netting
     +-- margin and collateral
     +-- default fund / waterfall
     `-- settlement instructions
              |
              v
DvP: securities move if and when funds move
```

Visual reading: CCIL acts as central counterparty in important government-security, repo and foreign-exchange segments. SEBI-regulated clearing corporations perform analogous post-trade functions for exchange markets. Novation substitutes the CCP between counterparties; multilateral netting lowers gross settlement needs; margins and a default waterfall manage member failure. DvP reduces principal risk by linking the transfer of securities and funds. None of these removes market risk in the security or guarantees that collateral values will not move.

DEFINITION

Clearing calculates and manages obligations; a central counterparty interposes itself through novation; settlement completes delivery and payment. Delivery versus Payment links the two legs.

> **ANSWER-GRABBING LINE:** Central clearing reduces bilateral counterparty risk while concentrating risk-management and operational responsibility in the CCP.

MUST-WRITE KEYWORDS: clearing corporation, central counterparty, CCP, novation, netting, margin, default fund, DvP.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Safe settlement infrastructure converts market liquidity into final, legally reliable ownership.
- **Named evidence:** The RBI G-Sec Primer identifies CCIL as CCP for guaranteed settlement; RBI's CP/CD directions prescribe DvP for specified secondary trades.
- **Analysis:** Netting economises liquidity and novation standardises counterparty exposure, supporting confidence and scale.
- **Qualification / demand link:** A CCP can become systemically important; governance, margin design, liquidity resources, recovery and cyber resilience therefore matter.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The RBI G-Sec Primer identifies CCIL as CCP for guaranteed settlement; RBI's CP/CD directions prescribe DvP for specified secondary trades.
- **Analytical inference:** Netting economises liquidity and novation standardises counterparty exposure, supporting confidence and scale.

PRELIMS TRAP

Clearing is not trading, settlement is not custody, and DvP does not insure the investment.

MAINS USE

Use the trade-to-settlement chain to explain why infrastructure is a public-good component of market development.

MINI RECAP

['CCP novates obligations.', 'Netting reduces gross flows.', 'DvP links cash and security delivery.']

CORE SESSION 18 - Depositories, demat and beneficial ownership

VISUAL FIRST

```
ISSUER SECURITY
      |
      v
DEPOSITORY: electronic record / registered owner for transfer
      |
      v
DEPOSITORY PARTICIPANT: investor-facing interface
      |
      v
BENEFICIAL OWNER: economic rights and liabilities

DEMAT replaces paper certificates; it does not replace the issuer or exchange
```

Visual reading: Under the Depositories Act, 1996, the depository is recorded as registered owner only to effect transfer, while the beneficial owner is entitled to the rights and bears liabilities attached to the security. NSDL and CDSL are Indian depositories; investors ordinarily interact through a Depository Participant. Demat enables electronic holding, pledge and transfer, reducing certificate loss, forgery and transfer delay. It does not guarantee market value, issuer solvency or suitability.

DEFINITION

A depository holds securities in electronic fungible form; a Depository Participant provides account access; the beneficial owner retains the economic rights and liabilities.

> **ANSWER-GRABBING LINE:** Dematerialisation reduces paper and transfer risk, but legal ownership architecture still distinguishes depository, intermediary, issuer and investor.

MUST-WRITE KEYWORDS: depository, dematerialisation, demat account, Depository Participant, beneficial owner, NSDL, CDSL, fungible.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Secure ownership records are as important to market depth as the trading venue.
- **Named evidence:** Depositories Act section 10 separates the depository's transfer title from the beneficial owner's substantive rights.
- **Analysis:** Reliable electronic records reduce settlement friction and make large-scale transfer and pledge feasible.
- **Qualification / demand link:** Cybersecurity, erroneous instructions, freezes, nominee or transmission issues and intermediary conduct remain relevant.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Depositories Act section 10 separates the depository's transfer title from the beneficial owner's substantive rights.
- **Analytical inference:** Reliable electronic records reduce settlement friction and make large-scale transfer and pledge feasible.

PRELIMS TRAP

A Depository Participant is not the depository, and CDSL/NDSL do not execute every exchange trade.

MAINS USE

Trace investor order -> trade -> clearing -> settlement -> beneficial-owner account.

MINI RECAP

['Depository holds the electronic record.', 'DP interfaces with the investor.', 'Beneficial owner retains economic rights.']

CORE SESSION 19 - NDS-OM, CCIL and government-security settlement

VISUAL FIRST

```
G-SEC SECONDARY TRADE
|
+-- NDS-OM: RBI-authorised order-matching ETP
|   direct | indirect | Stock Broker Connect
|
+-- CCIL: CCP clearing, netting and settlement
|
`-- SGL / gilt / demat + funds account
    DvP finality through prescribed infrastructure
```

Visual reading: RBI's NDS-OM Access Directions dated 7 February 2025, updated 27 April 2026, permit eligible investors to use direct, indirect or Stock Broker Connect routes. Direct access requires the prescribed SGL, funds-settlement and CCIL securities-segment arrangements; indirect users transact through an entity that assumes settlement responsibility. CCIL novates and settles eligible transactions using Delivery versus Payment. Retail Direct is a separate RBI access arrangement for individual G-Sec investors. NDS-OM is not a depository and CCIL is not the issuer.

DEFINITION

NDS-OM is the RBI-authorised electronic order-matching platform for government securities; CCIL supplies central-counterparty clearing and settlement for covered trades.

> **ANSWER-GRABBING LINE:** Trading access and settlement responsibility are distinct: NDS-OM matches or reports the trade, while accounts and CCIL arrangements complete obligations.

MUST-WRITE KEYWORDS: NDS-OM, Negotiated Dealing System-Order Matching, CCIL, SGL, gilt account, Stock Broker Connect, direct access, indirect access.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Access reform widens participation only when execution, account structure and settlement responsibility remain aligned.
- **Named evidence:** The 2025 NDS-OM Directions updated 27 April 2026 expressly define the three access modes and direct-access prerequisites.
- **Analysis:** Multiple access routes can deepen liquidity while retaining a responsible settlement member for each obligation.
- **Qualification / demand link:** Broader access can expose less experienced investors to duration and liquidity risk; platform access is not advice.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 2025 NDS-OM Directions updated 27 April 2026 expressly define the three access modes and direct-access prerequisites.
- **Analytical inference:** Multiple access routes can deepen liquidity while retaining a responsible settlement member for each obligation.

PRELIMS TRAP

NDS-OM matches G-Sec orders; CCIL clears; SGL/gilt/demat records hold positions.

MAINS USE

Use the institutional chain to demonstrate how public debt becomes tradable without losing settlement discipline.

MINI RECAP

['NDS-OM is the G-Sec trading platform.', 'CCIL is the CCP.', 'Access route determines settlement responsibility.']

CORE SESSION 20 - Settlement cycles: T+1 and optional T+0

VISUAL FIRST

```
TRADE DATE = T
|
+-- T+1: funds and securities settle next working day
|
`-- OPTIONAL T+0: eligible equity cash trade settles same day
     additional route; not universal instant settlement

SHORTER CYCLE -> less open exposure
              -> higher funding, technology and operational demands
```

Visual reading: India completed the phased shift of listed-equity cash trades to the standard T+1 cycle in January 2023. SEBI introduced an optional beta T+0 route on 28 March 2024 and expanded its framework on 10 December 2024 in addition to T+1. On 30 October 2025, SEBI further extended-without a new fixed date in that circular-the timeline for mandatory QSB systems and stated that further guidance would follow; other provisions remained unchanged. T+0 means same-day settlement under the eligible framework, not instantaneous settlement of every trade.

DEFINITION

A settlement cycle is the interval between trade execution and final exchange of funds and securities.

> **ANSWER-GRABBING LINE:** Shorter settlement reduces outstanding counterparty exposure but demands timely funds, securities and interoperable systems.

MUST-WRITE KEYWORDS: T+1, T+0, rolling settlement, equity cash market, settlement risk, Qualified Stock Broker, custodian.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Settlement compression exchanges lower replacement exposure for greater intraday coordination and liquidity demands.
- **Named evidence:** SEBI's 2024 optional T+0 circulars and 30 October 2025 extension preserve T+1 and T+0 as distinct routes with staged implementation.
- **Analysis:** Less time between trade and settlement reduces the window for counterparty failure and margin exposure.
- **Qualification / demand link:** Operational failure, prefunding pressure and securities availability can rise; implementation scope must be rechecked after the cutoff.

EVIDENCE AND INFERENCE

- **Fact/evidence:** SEBI's 2024 optional T+0 circulars and 30 October 2025 extension preserve T+1 and T+0 as distinct routes with staged implementation.
- **Analytical inference:** Less time between trade and settlement reduces the window for counterparty failure and margin exposure.

PRELIMS TRAP

T+0 is not automatically real-time, and the optional route did not abolish T+1.

MAINS USE

Evaluate settlement reform through risk reduction, liquidity cost, inclusion and infrastructure readiness.

MINI RECAP

['T+1 settles next working day.', 'Optional T+0 settles eligible trades the same day.', 'Shorter is safer on exposure but operationally harder.']

CORE SESSION 21 - RBI-SEBI jurisdiction map

VISUAL FIRST

```
FUNCTIONAL REGULATION
|
+-- RBI
|   money markets | G-Secs | repo | CP/CD/short NCD perimeter
|   authorised ETPs and settlement/payment systems within mandate
|
+-- SEBI
|   public/listed securities issuance | exchanges | brokers
|   corporate debt | MIIs | depositories | investor protection
|
+-- IFSCA
|   unified regulator for banking | capital markets | insurance
|   and fund management within GIFT IFSC
|
`-- OVERLAP/EDGE
    instrument + issuer + maturity + venue + activity decide the rule
```

Visual reading: RBI regulates money-market instruments and government securities under the RBI Act and Government Securities Act framework, authorises relevant electronic trading platforms and oversees payment/settlement systems within its remit. SEBI regulates the securities market, public and listed issues, recognised stock exchanges, clearing corporations, depositories and intermediaries under its statutes. The International Financial Services Centres Authority is the unified regulator for banking, capital-market, insurance and fund-management activity within GIFT IFSC at Gandhinagar. It does not replace RBI, SEBI, IRDAI or PFRDA throughout India. A short-term NCD up to one year can fall under RBI's 2024 money-market direction, while listed corporate-debt issuance and trading also engage SEBI rules. The Government remains issuer of its debt; an exchange, CCP or depository does not become the regulator.

DEFINITION

Indian financial-market jurisdiction is functional: RBI and SEBI mandates intersect at boundaries, while IFSCA supplies a unified perimeter inside GIFT IFSC. The applicable rule depends on the location, instrument and activity rather than one universal institutional label.

> **ANSWER-GRABBING LINE:** Regulation, issuance, trading, clearing and settlement can involve different authorities in the same transaction chain.

MUST-WRITE KEYWORDS: RBI, SEBI, IFSCA, GIFT IFSC, Government Securities Act, SEBI Act, SCRA, market perimeter.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A jurisdiction map should follow function and statutory perimeter, not a simplistic `debt equals RBI, equity equals SEBI` slogan.
- **Named evidence:** The RBI Act, Government Securities Act, SEBI Act, Securities Contracts (Regulation) Act and Depositories Act allocate distinct but connected powers.
- **Analysis:** Functional allocation allows specialised oversight while requiring coordination at product and infrastructure boundaries.
- **Qualification / demand link:** IFSC activity has a distinct IFSCA perimeter and detailed derivatives/fund regulation belongs elsewhere; this core map stays with domestic syllabus needs.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The RBI Act, Government Securities Act, SEBI Act, Securities Contracts (Regulation) Act and Depositories Act allocate distinct but connected powers.
- **Analytical inference:** Functional allocation allows specialised oversight while requiring coordination at product and infrastructure boundaries.

PRELIMS TRAP

RBI and SEBI can both matter to a corporate-debt transaction at different stages. IFSCA's unified jurisdiction is confined to the IFSC perimeter.

MAINS USE

Assign issuer, regulator, trading venue, clearing institution and custodian separately.

MINI RECAP

['RBI leads money/G-Sec regulation.', 'SEBI leads domestic securities-market regulation.', 'IFSCA is unified regulator within GIFT IFSC.', 'Perimeter follows location, activity, instrument and law.']

CORE SESSION 22 - Liquidity, price discovery, risk transfer and capital formation

VISUAL FIRST

```
SAVINGS
  -> PRIMARY ISSUE -> ISSUER FUNDS -> INVESTMENT
          ^
          |
SECONDARY MARKET
liquidity <-> price discovery <-> risk transfer
          |
          `-> benchmark / lower liquidity premium / future issue conditions

FAILURE MODES: opacity | concentration | leverage | runs | manipulation
```

Visual reading: Primary issuance mobilises savings for government and enterprise. Secondary trading permits exit, distributes duration and credit risk, and produces benchmark prices. Deep order books can reduce liquidity premia and improve future issuance terms. Repo and securities lending support dealer inventories and price convergence. Yet leverage, homogeneous portfolios, fire sales and opaque products can turn market liquidity into systemic fragility. Market development therefore includes disclosure, surveillance, clearing resilience, investor protection and a diverse investor base.

DEFINITION

Financial-market development means improving the reliable mobilisation, pricing, transfer and settlement of financial claims-not merely increasing trading volume.

> **ANSWER-GRABBING LINE:** Liquidity and price discovery support capital formation only when prices remain informative and risks are borne by capable, protected participants.

MUST-WRITE KEYWORDS: capital formation, liquidity, price discovery, risk transfer, market depth, breadth, resilience, liquidity premium.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The developmental value of a market lies in the quality of allocation and exit, not in turnover alone.
- **Named evidence:** RBI and SEBI frameworks join issuance, trading, reporting, clearing and custody rather than treating product creation as sufficient development.
- **Analysis:** Reliable prices guide financing and investment; safe settlement and credible exit attract longer-horizon savings.
- **Qualification / demand link:** Liquidity can evaporate under stress, and risk transfer can concentrate rather than disperse exposure.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI and SEBI frameworks join issuance, trading, reporting, clearing and custody rather than treating product creation as sufficient development.
- **Analytical inference:** Reliable prices guide financing and investment; safe settlement and credible exit attract longer-horizon savings.

PRELIMS TRAP

High volume is not proof of depth, inclusion or stability.

MAINS USE

Link market microstructure to investment, borrowing cost, distribution and systemic risk.

MINI RECAP

['Primary markets mobilise funds.', 'Secondary markets create exit and benchmarks.', 'Infrastructure determines whether risk transfer is credible.']

CORE SESSION 23 - Yield curve and monetary-policy transmission

VISUAL FIRST

```
MATURITY -> 3M -> 1Y -> 5Y -> 10Y -> LONG
YIELD    -> short rates | expectations | term premium | supply | risk

RBI LIQUIDITY/POLICY
   -> overnight money rates
   -> expectations and G-Sec curve
   -> corporate bond yields / bank benchmarks
   -> borrowing, investment and asset prices
```

Visual reading: RBI operations most directly influence overnight and short money-market conditions. Expectations about future policy, inflation and growth, together with fiscal supply and portfolio demand, affect longer G-Sec yields. Sovereign yields become pricing references for SDLs and corporate bonds after liquidity and credit spreads. An upward slope may reflect higher expected future short rates or positive term premium; inversion may signal expected easing or stress, but structural demand and market segmentation can alter interpretation.

DEFINITION

A yield curve plots yields of comparable debt across maturities; its shape reflects expected short rates, term premia, liquidity, supply-demand and risk perceptions.

> **ANSWER-GRABBING LINE:** The yield curve is both a transmission channel and an information summary, but never a mechanical forecast.

MUST-WRITE KEYWORDS: yield curve, term structure, expectations, term premium, spread, benchmark yield, transmission.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Monetary transmission travels through a curve of market prices rather than one policy rate moving every borrowing cost one-for-one.
- **Named evidence:** RBI's operating framework and G-Sec market architecture connect overnight rates, government benchmarks and broader financing conditions.
- **Analysis:** Changes in expected rates alter discount factors, portfolios and risk premia, affecting borrowing and investment before bank contracts fully reset.
- **Qualification / demand link:** Fiscal borrowing, global yields, inflation risk, regulation and investor demand can offset or amplify the policy impulse.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's operating framework and G-Sec market architecture connect overnight rates, government benchmarks and broader financing conditions.
- **Analytical inference:** Changes in expected rates alter discount factors, portfolios and risk premia, affecting borrowing and investment before bank contracts fully reset.

PRELIMS TRAP

A steep curve is not automatically growth optimism, and correlation with the repo rate is not one-for-one causation.

MAINS USE

Trace overnight rate -> expectations/term premium -> G-Sec benchmark -> credit spread -> real activity.

MINI RECAP

['The curve compares yields across maturities.', 'Long yields contain more than expected repo rates.', 'Transmission depends on depth and risk premia.']

CORE SESSION 24 - Financial-market development, inclusion and stability

VISUAL FIRST

```
ACCESS
retail G-Sec | demat | exchange platforms | transparent issues
    |
    v
USAGE + QUALITY
liquidity | fair pricing | suitability | grievance redress
    |
    v
CAPITAL FORMATION + SAVER CHOICE
    |
    v
STABILITY ONLY WITH
disclosure + margin + supervision + cyber resilience + literacy
```

Visual reading: Retail Direct, demat access, online bond platforms and public issues widen participation and can diversify the investor base. Deeper government and corporate bond markets reduce exclusive dependence on bank balance sheets and supply benchmark prices. But search-result promotion, mis-selling, leverage, illiquid small issues, cyber fraud and herd behaviour can shift unsuitable risk to households. For institutions, common collateral and correlated portfolios can amplify fire sales. Inclusion must therefore progress from access to informed usage and quality, supported by disclosure, segregation of client assets, grievance mechanisms and resilient clearing.

DEFINITION

Financial-market inclusion expands safe and informed access to saving and investment instruments; stability requires that access be matched by suitability, transparency and robust infrastructure.

> **ANSWER-GRABBING LINE:** Democratising markets and protecting stability are complements only when risks, costs and settlement duties are understandable and enforceable.

MUST-WRITE KEYWORDS: financial deepening, retail access, investor protection, suitability, market conduct, cyber resilience, systemic risk.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Market access becomes developmental when it expands choice without disguising risk or weakening loss-bearing discipline.
- **Named evidence:** RBI's retail G-Sec access and SEBI's investor, depository and market-infrastructure frameworks widen channels while retaining regulated intermediaries.
- **Analysis:** A broader investor base can improve funding resilience and capital formation, but only if trust survives volatility and operational failure.
- **Qualification / demand link:** Investor protection cannot promise returns, and stability rules should not entrench incumbents by making access prohibitively costly.

EVIDENCE AND INFERENCE

- **Fact/evidence:** RBI's retail G-Sec access and SEBI's investor, depository and market-infrastructure frameworks widen channels while retaining regulated intermediaries.
- **Analytical inference:** A broader investor base can improve funding resilience and capital formation, but only if trust survives volatility and operational failure.

PRELIMS TRAP

Do not equate app-based access, account count or turnover with financial inclusion.

MAINS USE

Conclude with the triangle of depth, integrity and resilience.

MINI RECAP

['Access must become informed usage.', 'Market depth can diversify finance.', 'Protection and infrastructure preserve trust.']

CORE SESSION 25 - Topic synthesis and boundary with Topic 8

VISUAL FIRST

```
TOPIC 7 ASKS
market purpose -> instrument class -> issue/trade
-> clearing/settlement/custody -> regulator -> transmission

TOPIC 8 ASKS IN GREATER DEPTH
security valuation -> equity metrics -> derivatives
-> funds/ETFs/AIFs -> portfolio and hedging design

CROSS-LINK, DO NOT DUPLICATE
```

Visual reading: For Topic 7, identify purpose and tenor; classify the claim; distinguish primary from secondary; name the trading, clearing and custody chain; assign RBI or SEBI; then explain liquidity, price discovery, transmission and capital formation. Basic coupon, current yield, YTM and duration logic is necessary because government and corporate bond markets cannot be explained without it. Detailed derivative payoff diagrams, mutual-fund structures, ETF mechanics, AIF categories and portfolio strategies belong in Topic 8.

DEFINITION

Topic 7 owns the architecture of money and capital markets and the foundational classification of instruments; Topic 8 owns deeper security, derivative and investment-fund analysis.

> **ANSWER-GRABBING LINE:** A high-scoring answer uses enough instrument detail to explain the market mechanism, then stops before duplicating portfolio-product depth.

MUST-WRITE KEYWORDS: syllabus boundary, instrument taxonomy, market infrastructure, Topic 8, cross-link, answer architecture.

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Syllabus discipline is analytical discipline: depth should serve the question rather than become an inventory of adjacent products.
- **Named evidence:** The canonical Economy topic map places market architecture here and detailed securities, derivatives and funds in Topic 8.
- **Analysis:** A bounded cross-link preserves conceptual completeness while preventing repetition and contradictory rules across packages.
- **Qualification / demand link:** A question explicitly centred on a derivative or pooled fund must migrate to Topic 8 even if it trades in a capital market.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The canonical Economy topic map places market architecture here and detailed securities, derivatives and funds in Topic 8.
- **Analytical inference:** A bounded cross-link preserves conceptual completeness while preventing repetition and contradictory rules across packages.

PRELIMS TRAP

Do not omit basic bond mechanics, but do not turn this topic into a derivatives or fund-management chapter.

MAINS USE

Use a seven-step answer spine: purpose, claim, maturity, issue, trade, infrastructure, regulation and macro effect.

MINI RECAP

['Topic 7 owns market architecture.', 'Topic 8 owns deeper products and valuation.', 'Cross-link only to answer the demand.']

Exactly 32 original MCQs follow. Correct options rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best distinguishes the money market from the capital market?

- A. The former primarily serves short-term funding; the latter serves medium/long-term debt and equity finance
- B. The former is only for government and the latter only for companies
- C. The former is risk-free and the latter always risky
- D. The former has no secondary trading

Answer: A.

Option-specific explanations:

- **A - Correct:** Tenor and financing purpose provide the basic classification while risk and issuer must be tested separately.
- **B - Incorrect:** Issuer identity does not determine the market; governments and firms can issue instruments across relevant segments.
- **C - Incorrect:** Maturity labels do not eliminate credit, liquidity, market or rollover risk.
- **D - Incorrect:** Several money-market instruments trade after issue through regulated venues or OTC channels.

Examiner trap 1: Do not equate short maturity with complete safety.

MCQ 2

In which transaction does the issuer ordinarily receive fresh funds?

- A. Purchase of an existing share from another investor
- B. Subscription to a newly issued security in the primary market
- C. Resale of a government bond on NDS-OM
- D. Transfer of a demat holding between beneficial owners

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The buyer's money ordinarily goes to the selling investor, not to the company.
- **B - Correct:** A primary issue creates and allocates a new claim, so the issue proceeds reach the issuer subject to any offer-for-sale component.
- **C - Incorrect:** Secondary G-Sec trading changes ownership but does not create a new government borrowing receipt.
- **D - Incorrect:** An ownership transfer is not a fresh issue merely because records change electronically.

Examiner trap 2: An offer for sale inside a public offer sends proceeds to the selling holder, not the company.

MCQ 3

Under RBI's dated definitions, call money is:

- A. Collateralised borrowing for up to fourteen days
- B. Unsecured borrowing exceeding fourteen days and up to one year
- C. Unsecured borrowing or lending on an overnight basis
- D. A Government of India discount security

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Collateralised borrowing is repo-type finance, not call money.

- **B - Incorrect:** That tenor defines term money rather than call money.
- **C - Correct:** The RBI Call, Notice and Term Money Markets Directions define call money specifically as unsecured overnight funds.
- **D - Incorrect:** That describes a Treasury Bill or Cash Management Bill, not an inter-institutional unsecured loan.

Examiner trap 3: The word `call` does not convert every overnight transaction into call money; collateralised repo remains distinct.

MCQ 4

Consider the following statements about RBI's operating framework:

1. WACR is a transaction-value-weighted overnight unsecured market rate.
2. The Standing Deposit Facility forms the lower boundary of the operating corridor.
3. The Marginal Standing Facility forms the upper boundary of the operating corridor.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Statements 2 and 3 also correctly identify the corridor boundaries.
- **B - Incorrect:** MSF is also correctly placed as the ceiling.
- **C - Incorrect:** WACR is correctly described as the weighted overnight unsecured market rate and operating target.
- **D - Correct:** WACR is the operating target, with SDF as floor and MSF as ceiling; the market rate is guided toward, but is not identical to, the policy repo rate.

Examiner trap 4: Do not confuse a market-determined WACR with the policy repo rate or the standing corridor facilities.

MCQ 5

Which statement correctly describes a repo transaction?

- A. It is collateralised funding through sale and agreed repurchase of eligible securities
- B. It is an unsecured overnight interbank loan
- C. It permanently transfers the security with no reverse leg
- D. It is necessarily an RBI liquidity operation

Answer: A.

Option-specific explanations:

- **A - Correct:** Repo combines an initial sale with a future repurchase and is reverse repo from the cash lender's perspective.
- **B - Incorrect:** Absence of collateral characterises call money, whereas repo is securities-backed.
- **C - Incorrect:** The repurchase commitment is central to the transaction's financing character.
- **D - Incorrect:** Market repo exists separately from RBI's LAF and MSF operations under the 2025 Directions.

Examiner trap 5: Market repo and RBI policy repo share a legal form but not the same counterparty or purpose.

MCQ 6

Consider the following statements about TREPS:

1. It is a triparty-repo dealing system.
2. A triparty agent supports collateral and settlement services.
3. It is the same unsecured instrument as call money.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 is integral to triparty repo because the third party manages specified collateral and operational functions.
- **B - Correct:** TREPS is the Indian triparty-repo system, with CCIL supporting central-counterparty clearing and settlement.
- **C - Incorrect:** Statement 3 is false because TREPS transactions are collateralised, unlike call money.
- **D - Incorrect:** The first two are correct, but the unsecured character asserted in statement 3 is incompatible with repo.

Examiner trap 6: The superseded CBLO label may appear in PYQs, but the current market mechanism is TREPS.

MCQ 7

Which statement correctly distinguishes Treasury Bills from Cash Management Bills?

- A. Both are coupon-bearing State Government securities
- B. CMBs are a standard 182-day instrument
- C. T-Bills use standard 91, 182 and 364-day tenors; CMBs mature in less than 91 days for temporary cash needs
- D. T-Bills are corporate promissory notes

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both are Central Government discount instruments; states issue SDLs.
- **B - Incorrect:** A CMB has a non-standard maturity below 91 days rather than a regular 182-day tenor.
- **C - Correct:** The RBI G-Sec Primer separates the three standard T-Bill maturities from sub-91-day CMBs.
- **D - Incorrect:** Commercial Paper, not a Treasury Bill, is corporate unsecured promissory-note borrowing.

Examiner trap 7: CMB is not a fourth standard T-Bill tenor.

MCQ 8

Commercial Paper under RBI's 2024 Directions is:

- A. A secured government discount bill
- B. An equity share issued only through an exchange
- C. A deposit-insured bank account
- D. An unsecured money-market instrument issued as a promissory note

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Government discount borrowing is represented by T-Bills or CMBs, not CP.

- **B - Incorrect:** CP is debt and can be issued and traded under its money-market framework.
- **C - Incorrect:** CP is an issuer obligation and does not receive statutory bank-deposit insurance.
- **D - Correct:** The 3 January 2024 Directions define CP as unsecured promissory-note paper with a seven-day to one-year tenor.

Examiner trap 8: Credit rating and dematerialisation do not make CP secured.

MCQ 9

Consider the following pairs under the RBI Certificate of Deposit Directions dated 4 June 2021:

1. Minimum denomination - Rs 5 lakh
2. Issuance tenor for a bank CD - seven days to one year
3. Primary issue settlement - T+1

How many pairs are correctly matched?

- A. All three
- B. Only one
- C. Only two
- D. None

Answer: A.

Option-specific explanations:

- **A - Correct:** All three pairs match the RBI CD Directions; CDs must also be issued in dematerialised form.
- **B - Incorrect:** Both the tenor and primary-settlement pairs are also stated in the 2021 Directions.
- **C - Incorrect:** The denomination, tenor and T+1 primary issuance rules are all correctly paired.
- **D - Incorrect:** Each pair reproduces a distinct requirement of the current dated CD framework.

Examiner trap 9: A bank CD is negotiable and unsecured, but it is not an ordinary withdrawable savings deposit.

MCQ 10

Which statement best describes TReDS?

- A. It is a triparty-repo platform using securities as collateral
- B. It enables financiers to bid for accepted MSME receivables so that the MSME receives funds before invoice maturity
- C. It is a credit-rating platform that guarantees MSME invoices
- D. It converts every disputed invoice into compulsory buyer payment

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That describes TREPS, not TReDS.
- **B - Correct:** Buyer acceptance creates a financeable receivable; competing financiers quote discounts and the selected financier pays the MSME early.
- **C - Incorrect:** TReDS facilitates financing but neither rates nor guarantees the buyer's obligation.
- **D - Incorrect:** Buyer acceptance and an undisputed receivable remain essential; the platform cannot compel acceptance of a disputed invoice.

Examiner trap 10: TReDS is trade-receivables finance; TREPS is triparty repo.

MCQ 11

Which statement about Government securities is correct?

- A. States issue 91-day Treasury Bills through SEBI
- B. RBI is the debtor on every G-Sec it auctions
- C. The Union issues T-Bills and dated G-Secs, while States issue dated securities called SDLs
- D. Every G-Sec has zero coupon and less than one-year maturity

Answer: C.

Option-specific explanations:

- **A - Incorrect:** T-Bills are issued by the Government of India and auctioned by RBI.
- **B - Incorrect:** RBI acts as debt manager; the Central or State Government is the issuer and debtor.
- **C - Correct:** The RBI Primer distinguishes Central short-term and dated debt from State Development Loans.
- **D - Incorrect:** Dated securities generally carry coupons and have original maturity of one year or more.

Examiner trap 11: Sovereign issuer identity does not imply a fixed price in the secondary market.

MCQ 12

A fixed-coupon bond has face value Rs 100, annual coupon Rs 8 and market price Rs 80. Its current yield is:

- A. 8 per cent
- B. 12.5 per cent
- C. Cannot be calculated without maturity
- D. 10 per cent

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Eight per cent is the coupon rate because it divides coupon by face value.
- **B - Incorrect:** This reverses the required division and does not measure coupon income relative to market price.
- **C - Incorrect:** Maturity is required for YTM, but current yield needs only annual coupon and current price.
- **D - Correct:** Current yield equals annual coupon divided by market price: 8/80 multiplied by 100 equals 10 per cent.

Examiner trap 12: Current yield ignores redemption gain or loss and therefore is not YTM.

MCQ 13

Why does the price of an existing plain fixed-coupon bond generally fall when the market-required yield rises?

- A. Its fixed future cash flows are discounted at a higher rate
- B. Its face value automatically increases
- C. Its issuer necessarily defaults
- D. Its coupon is retroactively reduced

Answer: A.

Option-specific explanations:

- **A - Correct:** Discounted present value provides the mechanical basis of the inverse price-yield relationship.
- **B - Incorrect:** Contractual face value ordinarily remains fixed despite market-yield movement.
- **C - Incorrect:** Interest-rate movement can alter price without any change in default status.
- **D - Incorrect:** The coupon on a fixed-rate bond does not reset when market yields change.

Examiner trap 13: Credit-spread changes can move price too, so not every yield change is pure policy-rate risk.

MCQ 14

Modified duration is primarily used to approximate:

- A. The probability that the issuer will default
- B. The percentage bond-price change for a small change in yield
- C. The statutory maturity date of an equity share
- D. The number of coupon payments already received

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Credit analysis, not duration alone, evaluates default likelihood.
- **B - Correct:** Modified duration translates a small yield change into an approximate opposite-direction percentage price change.
- **C - Incorrect:** Equity has no contractual maturity and duration is a fixed-income sensitivity measure.
- **D - Incorrect:** Duration weights future cash-flow timing rather than counting historical coupons.

Examiner trap 14: Duration is a local sensitivity measure and becomes less exact for large or non-parallel yield moves.

MCQ 15

Arrange the following in the normal primary-auction sequence:

1. Allotment
2. Issue notification
3. Submission of bids
4. Determination of cut-off

Select the correct answer.

- A. 3 - 2 - 1 - 4
- B. 2 - 4 - 3 - 1
- C. 2 - 3 - 4 - 1
- D. 4 - 3 - 2 - 1

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Bids cannot properly precede the notification that specifies the issue and auction terms.
- **B - Incorrect:** The cut-off is derived after bids are received, not before submission.
- **C - Correct:** The issuer's notification opens the process, bidders submit, the auction determines a cut-off and securities are allotted.
- **D - Incorrect:** A cut-off cannot be determined before the issue is notified and bids are evaluated.

Examiner trap 15: Settlement follows allotment; it should not be inserted before price discovery.

MCQ 16

In a multiple-price government-security auction, a successful competitive bidder ordinarily:

- A. Always pays the weighted-average non-competitive price
- B. Pays one uniform cut-off price irrespective of its bid
- C. Receives securities without price or yield discovery
- D. Pays the price or yield that it bid

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The weighted-average outcome is associated with non-competitive allocation, not every competitive bid.
- **B - Incorrect:** That describes the uniform-price payment rule.
- **C - Incorrect:** Competitive bids actively contribute to the auction cut-off.
- **D - Correct:** Multiple-price or discriminatory allocation preserves each successful bid's own accepted price or yield.

Examiner trap 16: Price-based versus yield-based and uniform versus multiple are different classification axes.

MCQ 17

A non-competitive bidder in a government-security auction ordinarily:

- A. Accepts the auction-derived weighted-average price or yield without quoting one
- B. Sets the cut-off for all competitive bidders
- C. Receives a guaranteed capital gain
- D. Becomes a Primary Dealer

Answer: A.

Option-specific explanations:

- **A - Correct:** The non-competitive route broadens access by removing the need to quote a price or yield.
- **B - Incorrect:** Competitive bids, not non-competitive applications, discover the cut-off.
- **C - Incorrect:** Non-competitive access simplifies bidding but does not protect secondary-market value.
- **D - Incorrect:** Investor access does not confer dealer authorisation or underwriting obligations.

Examiner trap 17: Non-competitive means price-taking, not risk-free or allocation without scheme limits.

MCQ 18

Consider the following statements about Primary Dealers:

1. They support government-security auctions through bidding or underwriting obligations.
2. They support secondary-market liquidity through market making.
3. They guarantee that every G-Sec investor avoids market loss.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Market making is also a central dealer function in the secondary G-Sec market.
- **B - Correct:** RBI's PD framework joins primary-auction commitment with secondary market-making, not investor-return insurance.
- **C - Incorrect:** Underwriting is a primary-market role, while statement 3 invents a price guarantee.
- **D - Incorrect:** PD participation cannot eliminate interest-rate or liquidity loss for investors.

Examiner trap 18: RBI authorisation does not make a PD the sovereign issuer.

MCQ 19

Which statement about preference shares is correct?

- A. They are always secured debt instruments
- B. Their dividend is a guaranteed bank-deposit return
- C. They remain share capital but receive preference over ordinary equity for dividend and repayment of capital
- D. They always carry the same voting rights as ordinary equity shares

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Preference shares are legally share capital even when their economics resemble fixed-income claims.
- **B - Incorrect:** Preference dividend remains subject to the legal and issue terms; it is not deposit insurance or an unconditional bank promise.
- **C - Correct:** Priority over ordinary equity defines the preference, while cumulative, convertible, redeemable and participating features depend on the terms.
- **D - Incorrect:** Preference shareholders ordinarily have more limited voting rights than ordinary equity holders.

Examiner trap 19: Fixed or preferential economic rights do not automatically convert a preference share into debt.

MCQ 20

Consider the following statements about corporate-bond credit ratings:

1. A rating is an opinion on relative credit risk rather than a repayment guarantee.
2. A downgrade can raise the required yield and reduce the price of an existing bond.
3. The issuer-pays model creates a potential conflict that requires regulation and disclosure.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Statements 2 and 3 are also correct consequences and institutional concerns.
- **B - Incorrect:** The issuer-pays conflict in statement 3 is also real even though regulation seeks to contain it.
- **C - Incorrect:** Statement 1 is essential: a rating is not insurance or a sovereign guarantee.
- **D - Correct:** A downgrade normally widens the credit spread and lowers price, while the rating remains an opinion produced within a regulated but potentially conflicted model.

Examiner trap 20: High rating, collateral and trustee oversight reduce particular risks but do not guarantee payment.

MCQ 21

Which statement correctly distinguishes bonus issues and book building?

- A. A bonus issue capitalises reserves without bringing fresh cash, while book building uses bids within a price band to discover an issue price
- B. A bonus issue is an offer for sale whose proceeds go to promoters
- C. Book building guarantees that the post-listing market price will rise
- D. A bonus issue necessarily reduces every shareholder's proportionate ownership

Answer: A.

Option-specific explanations:

- **A - Correct:** Bonus shares reclassify reserves into share capital, while book building records demand at prices within the announced band.
- **B - Incorrect:** An offer for sale transfers existing shares for cash; a bonus issue distributes additional shares without sale proceeds.
- **C - Incorrect:** Price discovery cannot guarantee a listing gain or eliminate valuation risk.
- **D - Incorrect:** A proportionate bonus issue normally leaves relative ownership unchanged immediately after issue.

Examiner trap 21: More shares after a bonus issue do not mean immediate additional company value or investor wealth.

MCQ 22

A rights issue primarily offers new securities to:

- A. Only Qualified Institutional Buyers
- B. Existing shareholders identified on the record date under the stated entitlement
- C. Any investor through an initial listing
- D. Only Primary Dealers

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That restricted institutional route describes QIP, not a rights issue.
- **B - Correct:** Rights issues give existing holders a proportionate opportunity subject to the issue terms.
- **C - Incorrect:** Public subscription and first listing describe an IPO context.
- **D - Incorrect:** Primary Dealers specialise in government securities, not corporate shareholder entitlements.

Examiner trap 22: A right can lapse or be renounced where permitted; it is not compulsory purchase.

MCQ 23

Consider the following statements:

1. QIP is undertaken by a listed issuer.
2. QIP places eligible securities with Qualified Institutional Buyers.
3. Every private placement is a QIP.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** QIB eligibility is an essential part of the QIP definition.
- **B - Incorrect:** Statement 1 is correct, while statement 3 wrongly converts a species into the entire genus.
- **C - Correct:** SEBI's ICDR framework defines QIP as a listed-issuer placement of eligible securities to QIBs.
- **D - Incorrect:** Private placement includes routes other than QIP, so statement 3 is overbroad.

Examiner trap 23: QIP, preferential issue and general private placement are not interchangeable labels.

MCQ 24

Which statement about exchange and OTC trading is correct?

- A. Every electronic trade is exchange-traded
- B. OTC means that no regulator or reporting rule applies
- C. A stock exchange performs final custody for every security
- D. An authorised electronic trading platform can still form part of an OTC market under the governing definition

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Technology does not determine the legal venue category by itself.
- **B - Incorrect:** RBI directions can regulate OTC execution, reporting and settlement.
- **C - Incorrect:** Depositories and settlement institutions perform distinct post-trade roles.
- **D - Correct:** RBI market directions define OTC broadly enough to include relevant electronic trading platforms outside recognised exchanges.

Examiner trap 24: Electronic, exchange-traded and centrally cleared describe different attributes.

MCQ 25

Novation by a central counterparty means that the CCP:

- A. Interposes itself as buyer to each seller and seller to each buyer
- B. Becomes the original issuer of the traded security
- C. Guarantees the security's market price
- D. Replaces the beneficial owner in the depository permanently

Answer: A.

Option-specific explanations:

- **A - Correct:** Novation standardises counterparty exposure and supports netting and default management.
- **B - Incorrect:** The security issuer remains unchanged after clearing.
- **C - Incorrect:** Settlement assurance does not remove price movement.
- **D - Incorrect:** Clearing interposition is not confiscation of investor ownership rights.

Examiner trap 25: Central clearing reduces bilateral risk but concentrates infrastructure risk.

MCQ 26

Delivery versus Payment chiefly reduces:

- A. Coupon-rate risk over the bond's life
- B. Principal risk from one leg settling without the corresponding cash or securities leg
- C. The issuer's business risk
- D. All operational and cyber risk

Answer: B.

Option-specific explanations:

- **A - Incorrect:** DvP addresses settlement exchange, not the level of future market yields.
- **B - Correct:** DvP conditions final securities delivery on corresponding funds delivery.
- **C - Incorrect:** Simultaneous settlement cannot repair issuer cash flows.
- **D - Incorrect:** Linked delivery reduces one risk channel but systems can still fail.

Examiner trap 26: DvP does not mean that trades cannot fail or investments cannot lose value.

MCQ 27

Under Depositories Act section 10, which statement is correct?

- A. The Depository Participant becomes the issuer
- B. Dematerialisation transfers economic ownership to SEBI
- C. The depository is registered owner for transfer purposes, while the beneficial owner holds substantive rights and liabilities
- D. The exchange permanently holds all investor securities

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A DP is an investor-facing intermediary, not the company or government that created the security.
- **B - Incorrect:** SEBI regulates the market; it does not become owner of demat holdings.
- **C - Correct:** The statutory split enables electronic transfer while preserving the investor's beneficial ownership.
- **D - Incorrect:** Trading venue and custody records are separate functions.

Examiner trap 27: Registered owner in this context does not mean beneficial economic owner.

MCQ 28

Under RBI's NDS-OM Directions dated 7 February 2025 and updated 27 April 2026, consider:

1. Direct access settles in the participant's own SGL account.
2. Indirect access uses another entity that assumes settlement responsibility.
3. Stock Broker Connect can provide access to individual demat clients.

How many statements are correct?

- A. Only one
- B. Only two
- C. None
- D. All three

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Both indirect access and Stock Broker Connect are expressly defined in the updated directions.
- **B - Incorrect:** Each statement accurately describes a separate NDS-OM access route.
- **C - Incorrect:** The directions define all three mechanisms and their settlement relationships.
- **D - Correct:** All three statements reflect the expanded access architecture in the current dated NDS-OM Directions.

Examiner trap 28: NDS-OM access does not make the platform a depository or the investor a direct settlement member.

MCQ 29

Which regulatory map is most accurate?

- A. RBI leads money markets and G-Secs, SEBI leads domestic public/listed securities markets, and IFSCA is the unified regulator within GIFT IFSC
- B. RBI regulates every debt security and SEBI regulates only shares
- C. IFSCA replaces RBI, SEBI, IRDAI and PFRDA throughout India
- D. Stock exchanges regulate banks' prudential capital and GIFT IFSC banking units

Answer: A.

Option-specific explanations:

- **A - Correct:** Functional regulation depends on instrument and activity, while IFSCA supplies a unified perimeter specifically inside GIFT IFSC.
- **B - Incorrect:** Corporate debt and short-term money-market debt can cross functional perimeters.
- **C - Incorrect:** IFSCA's unified role is geographically and legally confined to the IFSC.
- **D - Incorrect:** Exchanges are trading venues; prudential regulation is not transferred to them.

Examiner trap 29: Unified IFSC regulation does not mean one regulator governs every financial activity throughout India.

MCQ 30

Consider the following statements about Indian equity cash-market settlement:

1. T+1 is the standard cycle.
2. Optional T+0 operates in addition to T+1 under SEBI's phased framework.
3. T+0 necessarily means instantaneous settlement of every equity trade.

Which of the statements given above are correct as at the 9 September 2026 cutoff?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The optional T+0 route also exists under the dated SEBI framework.
- **B - Correct:** SEBI's 2024 framework retained T+1 and added optional T+0; the 30 October 2025 circular further extended QSB implementation timing.
- **C - Incorrect:** T+1 remains standard and T+0 is same-day rather than necessarily instantaneous.
- **D - Incorrect:** Statement 3 overstates both speed and universality of the optional route.

Examiner trap 30: The extension did not convert optional same-day settlement into universal real-time settlement.

MCQ 31

An upward-sloping government-security yield curve can reflect:

- A. A legal guarantee that economic growth will rise
- B. Only current credit default risk of the sovereign
- C. Expected future short rates and a positive term premium, among other demand-supply forces
- D. The coupon rates of existing bonds alone

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Yield-curve shape is not a statutory or deterministic forecast.
- **B - Incorrect:** Inflation expectations, term premium, liquidity and bond supply also affect yields.
- **C - Correct:** A curve combines expectations, term premium, liquidity and supply-demand effects across maturities.
- **D - Incorrect:** Market yields respond to prices and expectations, not solely to printed coupons.

Examiner trap 31: Curve interpretation is conditional; inversion or steepness has no single universal cause.

MCQ 32

Which sequence best captures sound financial-market development?

- A. More products -> guaranteed returns -> no need for disclosure
- B. Higher turnover -> automatic inclusion -> zero systemic risk
- C. Shorter settlement -> elimination of funding and operational risk
- D. Access -> informed participation -> liquid price discovery -> resilient clearing -> productive capital formation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Product variety can increase complexity and never guarantees returns.
- **B - Incorrect:** Volume can be concentrated and leverage can amplify market stress.
- **C - Incorrect:** Compression reduces open exposure but raises intraday readiness demands.
- **D - Correct:** Depth, integrity and resilience must progress together for markets to mobilise savings productively.

Examiner trap 32: Account access or turnover alone is not evidence of welfare-enhancing inclusion.

PYQS AND ANSWER PRACTICE

Official-key discipline

- The five 2024-2025 questions below reproduce the locally held official-paper wording and Set-A keys.
- The seven 2018-2023 entries are neutral demand routes from the audited local routing ledger. The local repository does not hold their official keys; therefore each answer is withheld rather than inferred.
- A modern note is added only where an old label would otherwise mislead. It never alters the official key.

PYQ 1 - UPSC Prelims 2024, Q40

Question: With reference to the Indian economy, "Collateral Borrowing and Lending Obligations" are the instruments of:

- (a) Bond market
- (b) Forex market
- (c) Money market
- (d) Stock market

Official Set-A answer: (c).

Solution: CBLO was a collateralised short-term funding instrument in the money market. For current answers, add that CBLO has been replaced by the Tri-Party Repo Dealing and Settlement mechanism, commonly called TREPS. The historical term in the question remains the term to classify.

Elimination: Collateralised liquidity borrowing is not equity, foreign exchange or long-term bond capital merely because Government securities may serve as collateral.

PYQ 2 - UPSC Prelims 2024, Q43

Question: In India, which of the following can trade in Corporate Bonds and Government Securities?

1. Insurance Companies
2. Pension Funds
3. Retail Investors

Select the correct answer using the code given below:

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only

- (d) 1, 2 and 3

Official Set-A answer: (d).

Solution: All three categories can participate, subject to their governing investment and access rules. Insurance and pension institutions are major debt investors. Retail access exists through intermediated routes and, for Government securities, RBI Retail Direct. Eligibility never means that all categories face identical prudential limits.

PYQ 3 - UPSC Prelims 2024, Q44

Question: Consider the following:

1. Exchange-Traded Funds (ETF)
2. Motor vehicles
3. Currency swap

Which of the above is/are considered financial instruments?

- (a) 1 only
- (b) 2 and 3 only
- (c) 1, 2 and 3
- (d) 1 and 3 only

Official Set-A answer: (d).

Solution: An ETF is a tradable financial claim and a currency swap is a contractual financial instrument. A motor vehicle is a real or physical asset. It can secure a loan but collateral status does not turn it into a financial instrument. Detailed fund and derivative mechanics belong to Topic 8.

PYQ 4 - UPSC Prelims 2024, Q51

Question: Consider the following statements:

Statement-I: If the United States of America (USA) were to default on its debt, holders of US Treasury Bonds will not be able to exercise their claims to receive payment.

Statement-II: The USA Government debt is not backed by any hard assets, but only by the faith of the Government.

Which one of the following is correct in respect of the above statements?

- (a) Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
- (b) Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
- (c) Statement-I is correct, but Statement-II is incorrect
- (d) Statement-I is incorrect, but Statement-II is correct

Official Set-A answer: (a).

Solution: Follow the official key: sovereign Treasury debt is supported by the government's full faith and credit rather than a pledge of specified hard assets. The analytical lesson is to distinguish a legal payment promise from collateral that a creditor can seize. This does not mean that a bondholder ceases to hold a contractual claim merely because enforcement against a sovereign is constrained.

PYQ 5 - UPSC Prelims 2025, Q68

Question: Consider the following statements in respect of RTGS and NEFT:

- I. In RTGS, the settlement time is instantaneous while in case of NEFT, it takes some time to settle payments.
- II. In RTGS, the customer is charged for inward transactions while that is not the case for NEFT.
- III. Operating hours for RTGS are restricted on certain days while this is not true for NEFT.

Which of the statements given above is/are correct?

- (a) I only
- (b) I and II
- (c) I and III

- (d) III only

Official Set-A answer: (a) I only.

Solution: RTGS settles each transaction individually in real time, whereas NEFT uses deferred net settlement batches. Inward transactions are not charged to the beneficiary, and both systems operate round the clock. The cross-link is conceptual: payment-system settlement differs from securities-market trade settlement and from DvP.

Historical routed demands - official key unavailable locally

Year and question	Neutral routed demand	Answer status	Learning route
2018 Q56	RBI management of Government securities and Treasury Bills	**Answer withheld pending official UPSC key.**	Sessions 7, 10 and 11
2020 Q54	Non-financial debt components in the Indian economy	**Answer withheld pending official UPSC key.**	Session 12; classify the claim before selecting
2020 Q70	Commercial Paper, call money and bonds as market instruments	**Answer withheld pending official UPSC key.**	Sessions 3 and 6
2021 Q6	Factors influencing Indian Government Bond yields	**Answer withheld pending official UPSC key.**	Sessions 8, 9 and 23
2021 Q13	Government securities, Treasury Bills, NDS-OM and CDSL	**Answer withheld pending official UPSC key.**	Sessions 7, 18 and 19
2022 Q63	Credit-rating agencies: regulation and types in India	**Answer withheld pending official UPSC key.**	Session 13; do not treat rating as a guarantee
2023 Q25	Capital-market versus money-market classification in India	**Answer withheld pending official UPSC key.**	Sessions 1 and 2

ORIGINAL MAINS PRACTICE AND MODEL ANSWERS

The isolated model-answer bodies below are measured with the native alphanumeric-token regex. Question, heading and metadata words are excluded from the count.

M1 - 10 marks - 150 words

Question: Distinguish the money market from the capital market and explain why a developed economy needs both.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (144 native-body words):

Money and capital markets differ chiefly in financing horizon and function. The money market redistributes short-term liquidity through call money, repo, Treasury Bills, Commercial Paper and Certificates of Deposit. It helps banks and firms bridge cash-flow mismatches and transmits monetary conditions. The capital market mobilises medium- and long-term finance through equity, dated Government securities, State Development Loans and corporate bonds.

The distinction is not absolute safety versus risk. A short instrument can default or face rollover stress, while a long sovereign bond can be credit-safe yet price-sensitive. Both primary issuance and secondary liquidity matter: issuance transfers funds to the borrower; trading supplies price discovery and exit.

A developed economy needs an integrated ladder. Money markets stabilise working liquidity, whereas capital markets fund infrastructure, enterprise and public borrowing. Transparent benchmarks and resilient settlement must connect them without allowing leverage or maturity mismatch to transmit shocks.

M2 - 10 marks - 150 words

Question: Explain the inverse bond price-yield relationship and show its importance for monetary transmission.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (130 native-body words):

A fixed-coupon bond promises contractual cash flows. Its price equals their present value discounted at the required yield. When market yield rises, the higher discount rate lowers present value; when yield falls, price rises. A below-par bond can therefore have a current yield above its coupon rate, while yield to maturity also includes redemption gain or loss.

Duration converts this principle into risk measurement: longer-duration bonds show larger price changes for a small yield movement. Convexity makes duration only an approximation.

The mechanism matters for monetary transmission. Expected short rates and liquidity alter the sovereign yield curve, which influences bank funding, corporate-bond pricing and investment valuation. Yet inflation expectations, term premium, bond supply, credit spreads and global conditions may offset policy. The curve is both transmission channel and conditional signal.

M3 - 15 marks - 250 words

Question: Analyse India's regulatory architecture for money and capital markets. Why is a functional rather than slogan-based jurisdiction map necessary?

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (236 native-body words):

India's market architecture divides responsibility by instrument, issuer, maturity, venue and activity. The Reserve Bank of India leads money markets, Government securities, foreign exchange and payment systems under its statutory mandates. It issues directions for call, notice and term money, Certificates of Deposit, Commercial Paper, repo and the Negotiated Dealing System-Order Matching platform. It also manages government borrowing and supervises regulated participants.

The Securities and Exchange Board of India leads public issuance and trading in equity and corporate securities, recognised stock exchanges, clearing corporations, depositories and listed-market conduct. Within GIFT IFSC, IFSCA is the unified regulator for banking, securities, insurance and fund-management activity. The Companies Act and government borrowing framework add issuer-side rules. Exchanges organise trading, clearing corporations manage counterparty and settlement risk, and depositories maintain electronic ownership records; none should be described as the other.

Functional mapping is necessary because simple formulas fail. `Debt equals RBI` is false: listed corporate bonds fall substantially within SEBI's perimeter, while short-term Commercial Paper is an RBI-regulated money-market instrument. An electronic platform may facilitate an over-the-counter market, and a single transaction can involve a regulator, venue, central counterparty and depository.

Specialisation is the advantage; boundary gaps, inconsistent disclosure and regulatory arbitrage are the risks. Coordination should use activity-based definitions, common identifiers, interoperable data and clear crisis protocols. The aim is complete coverage: issuance integrity, prudential resilience, transparent trading, final settlement, custody and investor remedy each need an accountable owner.

M4 - 15 marks - 250 words

Question: How do clearing corporations, depositories and settlement design support market stability? Discuss their residual risks.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (225 native-body words):

A securities trade is not complete when buyer and seller agree. Clearing validates obligations, netting reduces gross payment needs, settlement exchanges securities and funds, and custody records continuing ownership. Market infrastructure turns this chain into enforceable finality.

A central counterparty, such as CCIL in covered Government-security and repo segments, novates trades and becomes buyer to every seller and seller to every buyer. Margins, collateral, default funds and loss-allocation rules reduce bilateral counterparty uncertainty. Delivery versus Payment links the securities and cash legs, limiting principal risk. Depositories hold securities electronically; under Depositories Act section 10, the depository is registered owner only for transfer, while the investor remains beneficial owner with substantive rights and liabilities.

Shorter settlement reduces replacement exposure and frees collateral sooner. However, speed also compresses the time available for funding, securities delivery, corrections and fraud checks. Central clearing mutualises and manages risk but concentrates dependence on one critical institution. Netting lowers liquidity demand in normal conditions yet a member default can create sudden margin calls. Cyber failure, operational outage, wrong client records and inadequate recovery resources remain possible.

Stability therefore requires more than a fast cycle. Regulators need robust participation standards, transparent margin models, stress testing, segregated client assets, default waterfalls, interoperable records, cyber resilience and tested recovery plans. The correct conclusion is that infrastructure transforms and contains risk; it does not abolish it.

M5 - 20 marks - 250 words

Question: Examine how India's financial instruments and issuance routes connect savers with public and private investment.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (232 native-body words):

Financial markets convert heterogeneous savings into claims suited to different financing needs. Treasury Bills and Cash Management Bills meet short Central Government cash requirements, while dated Government securities and State Development Loans fund longer public obligations. Commercial Paper finances short corporate needs; Certificates of Deposit mobilise negotiable bank funding; corporate bonds create contractual medium- or long-term debt. TReDS discounts accepted MSME invoices. Equity supplies residual risk capital, and hybrids combine contractual features.

Issuance design determines who receives funds and under what disclosure process. An Initial Public Offer brings an unlisted issuer to the public market; a Further Public Offer is made by an already listed issuer. A rights issue gives existing shareholders a proportionate opportunity. Private placement addresses a selected group, while a Qualified Institutions Placement is a specific listed-issuer route to Qualified Institutional Buyers. Fresh issue must be separated from offer for sale because only the former ordinarily finances the company.

Secondary markets make these claims usable. Liquidity gives exit, price discovery disciplines issuance and the sovereign curve benchmarks other debt. Venues, clearing corporations and depositories complete the chain.

Mobilisation is not automatically productive. Illiquid bonds, weak disclosure, rating dependence, leverage, unsuitable retail sales and infrastructure concentration can amplify risk. Reform should broaden transparent issuance, improve market making, protect beneficial ownership, strengthen settlement and give suitability warnings. The goal is reliable transfer of savings into accountable public and productive private investment.

M6 - 20 marks - 250 words

Question: Financial-market deepening can advance inclusion and monetary transmission, but may also amplify instability. Critically discuss.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (207 native-body words):

Market deepening improves inclusion when households and smaller institutions gain transparent, low-cost access. Non-competitive Government-security auctions, RBI Retail Direct, dematerialisation and broker-connected routes reduce barriers. Deeper secondary markets improve exit, while a liquid sovereign curve transmits policy expectations into financing costs. Broader participation diversifies funding beyond bank credit.

However, access is not the same as welfare. Long-duration bonds can suffer large mark-to-market losses when yields rise. Thin corporate debt may display quoted prices without executable liquidity. Faster T+0 settlement reduces open exposure but increases same-day cash and securities readiness. Digital access can magnify mis-selling, leverage, herd behaviour, cyber risk and exclusion of investors with low financial literacy. Central counterparties reduce bilateral risk while concentrating operational and default-management dependence.

Policy must deepen markets with guardrails. Product labels should separate maturity, credit, duration, liquidity and settlement risk. Retail interfaces need suitability prompts, grievance channels and protected ownership records. RBI and SEBI should coordinate, stress-test utilities, monitor leverage and improve issuer disclosure. Market makers can support liquidity, but public backstops should not guarantee prices.

The proper objective is resilient participation: more investors, issuers and instruments combined with truthful price discovery and credible settlement. Inclusion without capability creates vulnerability; stability without access preserves shallow finance. Sequenced deepening must pursue both.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

This section enriches rather than conditions the Core.

1. Segmented liquidity and benchmark quality

A market can show high aggregate turnover while remaining thin in most securities. Indian Government security liquidity often clusters in recently issued benchmarks. The Mains implication is precise: headline volume is not a complete measure of depth; quote continuity, bid-ask spread, trade size and off-the-run liquidity matter.

2. Expectations hypothesis, term premium and segmentation

The expectations hypothesis links a long yield to expected future short rates, but observed yields also contain term, liquidity and risk premia. Preferred-habitat investors can make demand maturity-specific. Therefore an inverted curve may signal expected easing, but regulation, safe-asset demand or supply composition can also shape it.

3. Convexity beyond duration

Duration approximates the tangent to a curved price-yield relation. Convexity improves the estimate for larger yield changes and explains why equal upward and downward yield shifts need not generate equal absolute price changes. UPSC depth requires the intuition, not portfolio mathematics.

4. Auction strategy and winner's curse

Competitive bidding can expose an aggressive bidder to the winner's curse: winning because it overestimated value. Non-competitive access reduces expertise barriers for smaller investors, but the investor still accepts the auction result and subsequent market risk.

5. Liquidity spirals

A price decline can trigger variation margin, forced sales and wider haircuts. These actions depress prices further and convert market risk into funding-liquidity stress. CCP safeguards and transparent collateral rules interrupt the spiral, but concentration and procyclicality require monitoring.

6. Settlement-cycle trade-off

Moving from T+1 toward optional T+0 reduces overnight counterparty exposure and frees securities faster. It also demands prefunding, operational synchronisation and timely securities availability. Reform quality should therefore be judged by risk transfer, not speed alone.

7. Financialisation boundary

Deep markets can widen financing choices and household access, yet excessive churn or opaque products can detach transactions from productive capital formation. Policy must reward disclosure, suitability and long-horizon finance rather than treating turnover as an end.

COMPLETE ASCII MASTER FLOWCHART

The same twelve-panel source is exported independently as TXT/PDF and drives the graphical revision map.

```
+-----------------------------------------------------------------------------------------------+
| PANEL 1/12 - MARKET MAP                                                                       |
+-----------------------------------------------------------------------------------------------+
| SAVINGS / SURPLUS  ->  FINANCIAL CLAIM  ->  FUND-USER                                         |
| Households / firms / governments can appear on either side by instrument                      |
|  short liquidity       price + risk        working / capital                                  |
|  MONEY MARKET <=1Y                         CAPITAL MARKET >1Y/equity                          |
| Answer route: purpose -> maturity -> claim -> risk; never classify by name alone.             |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 2/12 - ISSUE VERSUS TRADE                                                               |
+-----------------------------------------------------------------------------------------------+
| PRIMARY: issuer creates claim -> investor pays -> issuer/OFS seller receives                  |
| SECONDARY: investor sells existing claim -> another investor pays                             |
|               liquidity + price discovery + exit                                             |
| Qualification: an IPO can mix a fresh issue and an offer for sale.                            |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 3/12 - UNSECURED SHORT FUNDS                                                            |
+-----------------------------------------------------------------------------------------------+
| CALL = overnight       NOTICE = >1 day to 14 days                                             |
| TERM = >14 days to 1 year                                                                     |
| SDF floor -> policy repo influence -> MSF ceiling; WACR is operating target                   |
| Trap: WACR is a market rate; call/notice/term are unsecured.                                  |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 4/12 - COLLATERALISED LIQUIDITY                                                         |
+-----------------------------------------------------------------------------------------------+
| Cash lender -> buys eligible security -> returns it on repurchase date                        |
| Cash borrower <- receives funds <- repurchases at agreed price                                |
| TREPS adds triparty services; CCIL supports CCP clearing.                                     |
| RBI market-repo Directions: 11 Nov 2025; excludes RBI LAF/MSF repo.                           |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 5/12 - DISCOUNT AND NEGOTIABLE PAPER                                                    |
+-----------------------------------------------------------------------------------------------+
| GoI: T-Bill 91/182/364d | CMB <91d                                                            |
| Firm: CP 7d-1y, unsecured | short-term NCD 90d-1y, secured definition                         |
| Bank: CD 7d-1y, demat; minimum Rs 5 lakh                                                      |
| TReDS: accepted MSME invoice -> financier bids -> early cash; not TREPS.                      |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 6/12 - SOVEREIGN DEBT AND YIELDS                                                        |
+-----------------------------------------------------------------------------------------------+
| CENTRE: T-Bills + dated G-Secs     STATES: SDLs; no T-Bills                                   |
| PRICE = present value of fixed cash flows                                                     |
| required yield up -> price down; required yield down -> price up                              |
| Coupon rate != current yield != YTM; duration measures sensitivity.                           |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 7/12 - AUCTION AND DEALERS                                                              |
+-----------------------------------------------------------------------------------------------+
| Notification -> competitive/non-competitive bids -> cut-off -> allotment                      |
| UNIFORM: one cut-off price | MULTIPLE: accepted own-bid prices                                |
| Primary Dealer: auction/underwriting role + secondary market making                           |
| Retail access changes entry, not market-risk exposure.                                        |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 8/12 - CLAIMS AND ISSUANCE                                                              |
+-----------------------------------------------------------------------------------------------+
| DEBT: contractual creditor claim | EQUITY: residual ownership                                 |
| PREFERENCE: priority rights; cumulative/convertible/redeemable terms vary                     |
| IPO/FPO/RIGHTS | BOOK BUILDING discovers issue price                                          |
| BONUS capitalises reserves, no fresh cash | QIP listed issuer -> QIBs                         |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 9/12 - TRANSACTION CHAIN                                                                |
+-----------------------------------------------------------------------------------------------+
| ISSUER -> VENUE -> CLEARING -> SETTLEMENT -> DEPOSITORY RECORD                                |
| exchange != OTC != ETP; electronic does not decide legal category                             |
| CCP novation: buyer to seller / seller to buyer                                               |
| DvP links securities and funds; it does not remove every risk.                                |
+-----------------------------------------------------------------------------------------------+
+-----------------------------------------------------------------------------------------------+
| PANEL 10/12 - OWNERSHIP AND ACCESS                                                            |
+-----------------------------------------------------------------------------------------------+
```

```
| Depositories Act s10: depository = registered owner for transfer only                          |
| Investor = beneficial owner with substantive rights and liabilities                            |
| NDS-OM: Direct | Indirect | Stock Broker Connect                                               |
| Directions 7 Feb 2025, updated 27 Apr 2026.                                                    |
+------------------------------------------------------------------------------------------------+
+------------------------------------------------------------------------------------------------+
| PANEL 11/12 - REGULATION AND SETTLEMENT                                                        |
+------------------------------------------------------------------------------------------------+
| RBI: money/G-Sec | SEBI: domestic securities | IFSCA: unified GIFT-IFSC perimeter           |
| T+1 = standard equity cash settlement                                                          |
| Optional T+0: 28 Mar 2024 beta; 10 Dec 2024 expansion framework                                |
| 30 Oct 2025: QSB timeline extended; T+0 is not universal instant settlement.                   |
+------------------------------------------------------------------------------------------------+
+------------------------------------------------------------------------------------------------+
| PANEL 12/12 - ANSWER SPINE                                                                     |
+------------------------------------------------------------------------------------------------+
| CLAIM -> named dated rule/institution -> causal analysis -> qualification                      |
| BENEFITS: liquidity | price discovery | transmission | capital formation                     |
| RISKS: credit/rating | duration | rollover | leverage | CCP/cyber concentration              |
| VERDICT: deepen access, disclosure and settlement resilience together.                         |
+------------------------------------------------------------------------------------------------+
```

CONSOLIDATED REGISTER NOTES

A. Core map

```
MONEY MARKET (short-term liquidity)            CAPITAL MARKET (medium/long-term finance)
Call / Notice / Term                           Equity / preference / hybrids
Repo / TREPS                                   Dated G-Secs / SDLs
T-Bills / CMBs                                 Corporate bonds / debentures
CP / CD / commercial bills                     Public issues / rights / placements
                 \                             /
                  PRIMARY ISSUE -> NEW CLAIM
                           |
                  SECONDARY TRADE -> LIQUIDITY
                           |
       TRADE -> CLEAR -> SETTLE -> HOLD / RECORD OWNERSHIP
```

B. Definitions and distinctions

Term	Exact exam meaning	Boundary
Money market	Market for short-term funds and instruments, generally up to one year	Short does not mean risk-free
Capital market	Medium/long-term debt and equity finance	Can include sovereign and private claims
Primary market	Creation and first allocation of a new security	Offer-for-sale proceeds may go to seller
Secondary market	Transfer of an existing claim	No fresh funding to issuer
Liquidity	Ability to trade promptly without a large price concession	Not solvency or return
Market depth	Capacity to absorb orders with limited price impact	Turnover alone is incomplete
Price discovery	Formation of a market-clearing price from information and orders	Distortion can arise from thinness or leverage

C. Money-market instrument sheet

Instrument	Nature / tenor	Issuer or participants	Dated rule / trap
Call money	Unsecured overnight funds	RBI-specified eligible institutions	Directions 1 Apr 2021, updated 8 Jun 2023
Notice money	Unsecured, over one day to 14 days	Same framework	Day 14 is notice, not term
Term money	Unsecured, over 14 days to one year	Same framework	Do not confuse with corporate bonds
WACR	Transaction-value-weighted overnight unsecured call rate	Market transactions; RBI operating target	Not identical to the policy repo rate
SDF / MSF	Standing corridor floor / ceiling	RBI liquidity framework	Facilities, not market instruments
Market repo	Collateralised sale-repurchase finance	Eligible entities and collateral under directions	11 Nov 2025; excludes RBI LAF/MSF operations
TREPS	Triparty-repo dealing and settlement mechanism	Members under platform rules; CCIL supports CCP clearing	Current successor to CBLO
T-Bill	Central Government discount security; 91/182/364 days	Government of India; RBI auction	No coupon; par redemption
CMB	Central Government discount security below 91 days	Temporary GoI cash mismatch	Not a regular fourth T-Bill
CP	Unsecured promissory-note money-market instrument; 7 days-1 year	Eligible issuers	3 Jan 2024, effective 1 Apr 2024; Rs 5 lakh; at least A3
Short-term NCD	Secured instrument under the 2024 directions; 90 days-1 year	Eligible issuers	Do not generalise this special definition to every NCD
CD	Negotiable unsecured money-market instrument; bank CD 7 days-1 year	SCBs, RRBs and SFBs; AIFI rules separate	4 Jun 2021; demat; Rs 5 lakh; primary T+1
Commercial bill	Trade receivable embodied in a bill	Buyer-seller-bank chain	Distinct from a Treasury Bill
TReDS	Electronic discounting of accepted MSME receivables	MSME seller, buyer and competing financiers	Not TREPS; buyer acceptance is essential

Settlement thresholds: CP/short-term NCD primary settlement no later than T+4; OTC secondary settlement T+0/T+1. CD primary issue T+1; OTC secondary settlement T+0/T+1 through DvP.

D. Government securities

- **T-Bill:** below one year, issued at discount, redeemed at par.
- **Dated G-Sec:** Central Government debt of one year or more, generally coupon-bearing.
- **SDL:** State Government dated security; states do not issue T-Bills.
- **Coupon rate:** annual coupon divided by face value.
- **Current yield:** annual coupon divided by current market price.
- **YTM:** discount rate equating current price with all promised cash flows to maturity.
- **Price-yield rule:** fixed cash flows discounted at a higher required yield have lower present value.
- **Duration:** weighted timing of cash flows; modified duration approximates percentage price sensitivity.
- **Auction:** notification -> bids -> cut-off -> allotment -> settlement.
- **Uniform price:** all successful competitive bidders pay the cut-off price.
- **Multiple price:** each successful competitive bidder pays its accepted bid price.
- **Non-competitive route:** investor does not quote price/yield; accepts auction-derived result.
- **Primary Dealer:** RBI-authorised dealer with auction/underwriting and market-making obligations.

E. Capital claims and issuance routes

Claim or route	Examiner-ready distinction
Debt	Contractual creditor claim with promised service and priority
Equity	Residual ownership and loss-bearing claim; no promised maturity
Preference share	Preferential economic rights but legally equity; may be cumulative, convertible, redeemable or participating
Secured debenture	Charge over specified assets
Unsecured debenture	Relies on general issuer credit
Convertible debenture	Debt can convert into equity under contractual terms
IPO	First public offer by an unlisted issuer
FPO	Public offer by an already listed issuer
Rights issue	Offer to existing holders on record date under entitlement
Book building	Investors bid within a price band to support issue-price discovery
Bonus issue	Reserves capitalised into share capital; no fresh funds and no immediate proportionate dilution
Private placement	Offer to a selected group within the legal cap
QIP	Listed issuer places eligible securities with Qualified Institutional Buyers
Fresh issue	Proceeds ordinarily reach issuer
Offer for sale	Proceeds ordinarily reach selling shareholder

F. Infrastructure and legal roles

Entity / mechanism	Function	What it is not
Stock exchange	Recognised organised trading venue	Not final custodian
OTC market	Bilateral or platform-facilitated non-exchange execution	Not necessarily unregulated
Clearing corporation / CCP	Clears, novates where applicable, nets and manages default	Not issuer or price guarantor
DvP	Links securities delivery with corresponding payment	Does not remove every settlement failure
Depository	Electronic holding and transfer records	Not beneficial economic owner
DP	Investor-facing depository intermediary	Not regulator or issuer
Beneficial owner	Investor with substantive rights and liabilities	Distinct from statutory registered-owner fiction
NDS-OM	RBI-regulated anonymous G-Sec order-matching platform	Not a depository
CCIL	CCP/clearing and settlement infrastructure in covered markets	Different roles for trade repository and custody

Depositories Act section 10: depository is registered owner only to effect transfer; beneficial owner retains all rights and liabilities. **NDS-OM current status:** Directions dated 7 February 2025, updated 27 April 2026, recognise Direct, Indirect and Stock Broker Connect access.

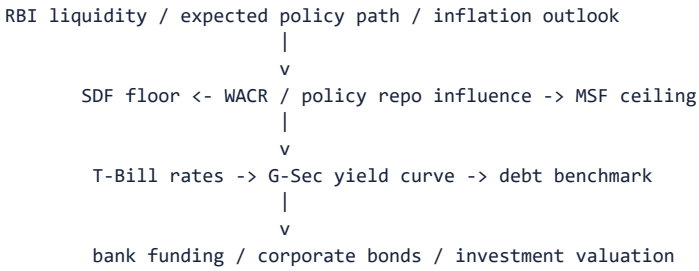
G. Regulatory map

- **RBI - Reserve Bank of India:** money markets, Government securities, foreign exchange, payment systems, regulated financial entities and public-debt operations within statute.
- **SEBI - Securities and Exchange Board of India:** public/listed securities, recognised exchanges, clearing corporations, depositories, intermediaries, disclosure and market conduct.
- **IFSCA - International Financial Services Centres Authority:** unified regulator for banking, capital-market, insurance and fund-management activity within GIFT IFSC; not the regulator for all India.
- **CCIL - Clearing Corporation of India Limited:** central-counterparty and settlement functions in covered G-Sec, repo and related markets.
- **NSE/BSE:** National Stock Exchange / BSE Limited, recognised stock exchanges.
- **NSDL/CDSL:** National Securities Depository Limited / Central Depository Services (India) Limited.
- **ICDR:** SEBI Issue of Capital and Disclosure Requirements Regulations, amended through 21 March 2026.
- **QIB/QIP:** Qualified Institutional Buyer / Qualified Institutions Placement.
- **SGL:** Subsidiary General Ledger account for Government securities.
- **ETP:** Electronic Trading Platform.
- **DvP:** Delivery versus Payment.

H. Settlement current-status box

- T+1 is the standard Indian equity cash-market settlement cycle; phased transition completed in January 2023.
- Optional T+0 beta was introduced on 28 March 2024 and expanded by SEBI's 10 December 2024 framework.
- SEBI's 30 October 2025 circular further extended the implementation timeline for Qualified Stock Brokers without announcing a replacement date in that circular; further guidance was awaited.
- T+0 means same-day settlement in the optional framework, not mandatory instantaneous settlement for every equity trade.

I. Transmission and yield curve



Qualification: fiscal supply, global yields, term premium, risk aversion, liquidity and credit spread can weaken or redirect transmission.

J. High-yield traps

1. Short maturity is not risk-free.
2. Primary versus secondary is about issue creation, not trading technology.
3. Repo is collateralised; call money is unsecured.
4. Market repo is not automatically RBI LAF repo.
5. States issue SDLs, not T-Bills.
6. Coupon rate, current yield and YTM are not synonyms.
7. A bond can be credit-safe and still suffer market loss.
8. Multiple-price and yield-based auctions are separate ideas.
9. Security and convertibility are independent debenture features.

10. IPO/FPO says nothing by itself about fresh issue versus offer for sale.
11. QIP is one private-placement route, not every private placement.
12. Electronic trading is not necessarily exchange trading.
13. Clearing, settlement, custody and regulation are different functions.
14. CCP risk management is not a price guarantee.
15. T+0 is optional same-day settlement, not universal real-time settlement.
16. Retail access is not suitability, liquidity or return insurance.
17. WACR is a market operating target; SDF and MSF form corridor boundaries.
18. TReDS discounts accepted MSME invoices; TREPS is triparty repo.
19. A bonus issue capitalises reserves but brings no fresh cash or instant wealth.
20. IFSCA's unified jurisdiction applies within GIFT IFSC, not throughout India.
21. A rating downgrade can widen credit spread and lower bond price; a rating is not insurance.

K. Mains architecture

Introduction: define the market or mechanism in one line. **Body 1:** classify instruments, participants and financing purpose. **Body 2:** name the relevant dated RBI/SEBI framework and infrastructure chain. **Body 3:** show liquidity, price discovery, transmission and capital formation. **Qualification:** credit, duration, rollover, leverage, concentration, operational and conduct risk. **Conclusion:** seek inclusive, transparent and resilient depth rather than volume alone.

L. Topic boundary

Topic 7 owns cash-market instruments, issuance routes, G-Sec mechanics, infrastructure, settlement and regulatory perimeter. Topic 8 owns detailed futures, options, swaps, mutual funds, exchange-traded funds, alternative investment funds and hedging strategy. Topic 7 may name them only to classify a claim or mark a boundary.